



# SHORT TERM REPORT

For the Year -Ended  
31 December 2022

**HEAD OFFICE** - 160 Rhodesville Ave, Greendale, Harare  
**COMPLAINTS HANDLING OFFICE HARARE** - Kingstons House,  
Cnr Leopold Takawira/Kwame Nkrumah Avenue, Harare  
**COMPLAINTS HANDLING OFFICE BULAWAYO** - Office No 18,  
Bulawayo Centre, Cnr Joshua Nkomo Street & 9th ave, Bulawayo



[www.ipec.co.zw](http://www.ipec.co.zw)



[enquiry@ipec.co.zw](mailto:enquiry@ipec.co.zw)



+263 (242)443358/59/61  
+263 772 154 281-4  
+263 (242)443322  
+263(292) 261822

# DISCLAIMER

This report, including any enclosures and attachments, has been prepared by the Insurance and Pensions Commission (IPEC), solely for informative purposes to the insurance sector stakeholders. The report may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent. The Commission does not accept any liability if this report is used for any other purposes other than the above-mentioned intended purpose.

This report relates to short-term insurance business written by short-term insurers, short-term reinsurers, brokers, reinsurance brokers and micro-insurers.

Growth referred to in this report is nominal growth unless stated otherwise.

\* Income statement figures were adjusted using year-on-year inflation of 243.80% reported for December 2022 reported by the Reserve Bank of Zimbabwe. ([www.rbz.co.zw](http://www.rbz.co.zw))

\*\*Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

## List of Acronyms and Abbreviations

|                 |   |                                    |
|-----------------|---|------------------------------------|
| AML             | - | Anti-Money Laundering              |
| CFT             | - | Combating Financing of Terrorism   |
| CPF             | - | Countering Proliferation Financing |
| DAC             | - | Deferred Acquisition Cost          |
| FATF            | - | Financial Action Task Force        |
| FIU             | - | Financial Intelligence Unit        |
| GPW             | - | Gross Premium Written              |
| IBNR            | - | Incurred But Not Reported          |
| IPEC/Commission | - | Insurance and Pensions Commission  |
| NEP             | - | Net Earned Premium                 |
| NPW             | - | Net Premium Written                |
| O/S Claims      | - | Outstanding Claims                 |
| ROA             | - | Return on Assets                   |
| ROE             | - | Return on Equity                   |
| STR             | - | Suspicious Transactions Report     |
| UCR             | - | Unearned Commission Reserve        |
| UPR             | - | Unearned Premium Reserve           |



# *Table of* **CONTENTS**

|     |                          |    |
|-----|--------------------------|----|
| 1.  | Executive Summary        | 1  |
| 2.  | Economic Overview        | 3  |
| 3.  | About the Commission     | 6  |
| 4.  | Insurance Companies      | 8  |
| 5.  | Reinsurance Companies    | 18 |
| 6.  | Microinsurance Companies | 27 |
| 7.  | Insurance Brokers        | 31 |
| 8.  | Reinsurance Brokers      | 35 |
| 9.  | Complaints Handling      | 38 |
| 10. | Regulatory Developments  | 39 |
| 11. | APPENDICES               | 42 |



## **SECTION A: EXECUTIVE SUMMARY**

### **1. Executive Summary**

- 1.1 The report provides an analysis of the performance of the short-term insurance sector, key economic indicators, investment markets, and highlights of the Commission's regulatory activities for the twelve months ended 31 December 2022.
- 1.2 Total Gross Premium Written (GPW) by the short-term insurers increased by 441% in nominal terms from ZW\$19.19 billion in December 2021 to ZW\$103.87 billion during the comparative period in 2022. In real terms, the GPW increased by 57%. Foreign-currency denominated business increased by 42% from US\$101.48 million reported during the twelve months ended 31 December 2021 to US\$143.85 million during the comparative period in 2022.
- 1.3 The total business written by short-term reinsurers increased by 455% from ZW\$11 billion for the twelve months ended 31 December 2021 to ZW\$60 billion during the period under review. In terms of foreign-currency denominated business, the reinsurers reported a 50% increase in GPW from US\$81.33 million reported during the twelve months ended December 2021 to US\$122.10 million during the comparative period in 2022.
- 1.4 Total assets reported by short-term insurers increased by 428% in nominal terms from ZW\$20.03 billion as at 31 December 2021 to ZW\$105.77 billion as at 31 December 2022. Investments in prescribed assets by short-term insurers increased by 1,226% from ZW\$383.97 million as at 31 December 2021 to ZW\$5.09 billion as at 31 December 2022. Four (4) out of the twenty (20) short-term insurers were compliant with the minimum prescribed asset ratio of 10%. All the short-term insurers reported capital positions above the minimum capital requirement (MCR) of ZW\$37.5 million.
- 1.5 Short-term reinsurers had an asset base of ZW\$73.89 billion as at 31 December 2022, reflecting a 482% increase from the ZW\$12.70 billion reported as at 31 December 2021. Investments in prescribed assets by

short-term reinsurers increased by 416% in nominal terms from ZW\$1.63 billion as at 31 December 2021 to ZW\$8.41 billion as at 31 December 2022. Four (4) out of the nine (9) short-term reinsurers were compliant with the minimum prescribed asset ratio of 10%. As at 31 December 2022, all the short-term reinsurers were compliant with the minimum capital requirement of ZW\$75 million.

- 1.6 The total business written by the micro-insurers increased by 365% from ZW\$0.60 billion reported during the twelve months of 2021 to ZW\$2.78 billion reported during the same period in 2022.
- 1.7 Direct brokers wrote a total of ZW\$47.1 billion in GPW, registering a 352% nominal increase from ZW\$10.4 billion recorded during the twelve months ended 31 December 2021. This represents 45% of the total business written by the short-term insurers, down from 54% contribution recorded during the twelve months ended 31 December 2021. Business written by reinsurance brokers increased by 159% from ZW\$15.3 billion during the twelve months of 2021 to ZW\$39.5 billion recorded during the comparative period in 2022.





## SECTION B: ECONOMIC OVERVIEW

### 2. Economic Overview

#### 2.1 Global and Regional Economic Outlook

2.1.1 The Global Economic outlook was weighed down by elevated inflationary pressures, tightening global financial conditions associated with high interest rate hikes by most Central Banks, and continued negative spill over effects from Geopolitical tensions. Furthermore, the turmoil of new waves of the COVID-19 pandemic continues to disrupt economic activity in some countries.

2.1.2 The global growth is projected to moderate to 2.7% in 2023 from 3.2% as indicated in table 1 below, marking the weakest growth profile since 2001, outside the 2009 global financial crisis and the acute phase of the Covid-19 pandemic.

**Table 1: World Economic Outlook Projections**

|                                                  | 2022 | 2023 | 2024 |
|--------------------------------------------------|------|------|------|
| <b>World Output</b>                              | 3.2  | 2.7  | 3.4  |
| <b>Advanced Economies</b>                        | 2.4  | 1.1  | 1.7  |
| <b>USA</b>                                       | 1.6  | 1.0  | 1.4  |
| <b>Euro Area</b>                                 | 3.1  | 0.5  | 2.1  |
| <b>Emerging Markets and Developing Economies</b> | 3.7  | 3.7  | 4.6  |
| <b>China</b>                                     | 3.2  | 4.4  | 5.1  |
| <b>Sub-Saharan Africa</b>                        | 3.6  | 3.7  | 4.2  |
| <b>Nigeria</b>                                   | 3.2  | 3.0  | 2.9  |
| <b>South Africa</b>                              | 2.1  | 1.1  | 1.6  |
| <b>Zimbabwe</b>                                  | 4.0  | 3.8  | 4.8  |

*Source: January 2023 World Economic Outlook Update, IMF Projections*

#### 2.2 Domestic Economic Outlook

2.2.1 Due to the base effect, global and domestic developments, particularly the impact of high inflation and resultant stabilisation measures on credit and demand, the economy was projected to grow by 4% in 2022, a further downward revision from the 4.6% projection (Ministry of Finance, 2022).

2.2.2 In the outlook, the Zimbabwean economy is projected to grow by 3.8% in 2023, compared to the NDS1 target of not less than 5%, on account of

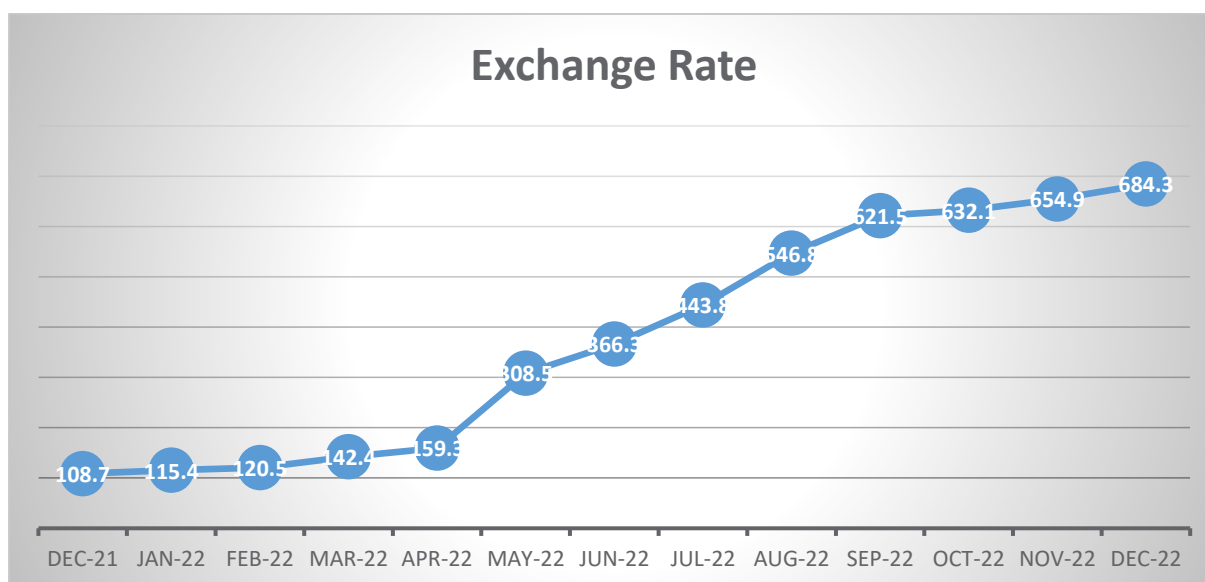
the uncertain global economic outlook and potential domestic adverse factors. In the medium term, GDP growth is projected to improve to about 4.8% and 5% in 2024 and 2025 respectively.

2.2.3 The insurance and pensions sector, like many other sectors in Zimbabwe, continues to operate under the following economic indicators.

## 2.3 Exchange Rate Developments

2.3.1 The Zimbabwean dollar depreciated against the US dollar from an average of US\$1:ZW\$621.5 as at 30 September 2022 to US\$1:ZW\$684.3 as at 31 December 2022. The exchange rate depreciation is caused by high demand for foreign currency as a store of value, as well as forward exchange rate pricing due to high inflation expectations.

**Figure 1: Interbank Exchange Rate December 2021 to December 2022 (US\$/ZWL)**

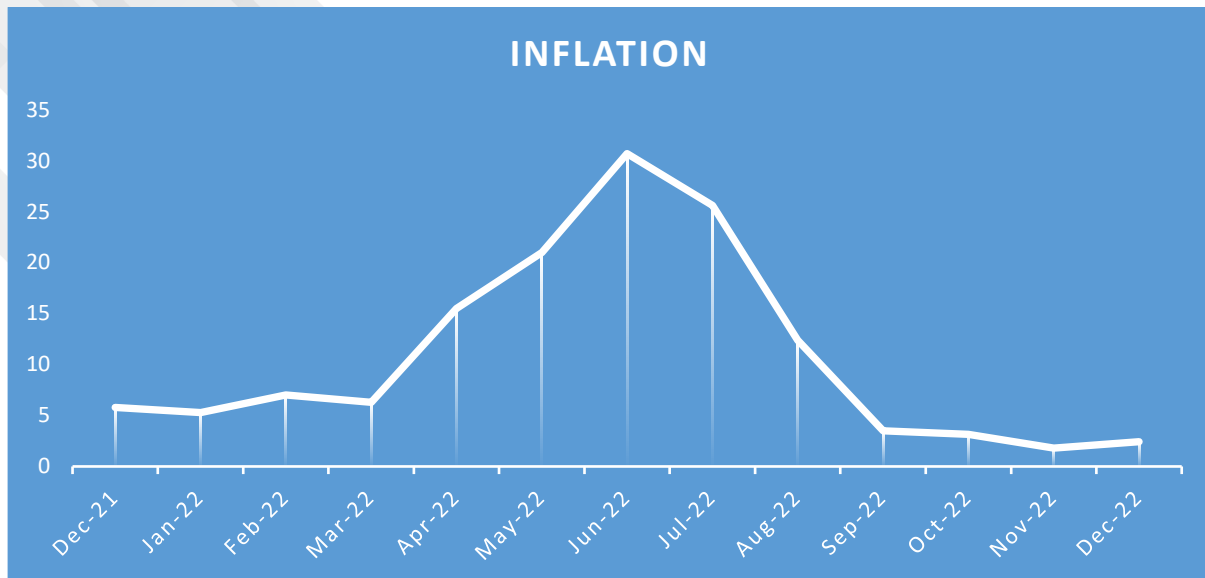


## 2.4 Inflation Developments

2.4.1 The year-on-year inflation rate slowed down to 243.7% in December 2022, from 280.4% recorded in September 2022. The month-on-month inflation rate was 1.3% as at 31 December 2022, down from 2.5% recorded as at 30 September 2022 on account of the decrease in food and non-food inflation following the introduction of fiscal and monetary stabilisation measures during the period under review. Figure 2 illustrates the inflation trend from December 2021 to December 2022.



**Figure 2: YoY Inflation Profile (%) December 2021 to December 2022**



Source: Zimbabwe National Statistics Agency

## **2.5 Zimbabwe Stock Exchange Performance**

2.5.1 The Zimbabwe Stock Exchange (ZSE) traded in the red in the fourth quarter of 2022. As a result, the Top 10 all share, Top15, Medium, and Small Cap Indices all fell due to low trading during the festive season. The Mining Index, on the other hand, increased by 27,30% to close the month of December 2022 at 25487.77 points, up from 20 021.24 points in June 2022.

2.5.2 Owing to the negative trading exhibited on the local bourse, coupled with the de-listing of some counters, the ZSE lost 16.17%, or ZW\$394.30 billion worth of capitalisation to ZW\$2 044.87 billion in December 2022, from ZW\$2 439.17 billion in June 2022.

## **2.6 Victoria Falls Stock Exchange (VFEX) Performance**

2.6.1 During the period under review, the Victoria Falls Stock Exchange (VFEX) displayed bearish sentiment. As a result, the VFEX All Share Index fell by 17.82% in December 2022, closing at 94.83 points, down from 115.39 points in June 2022. Annually, the VFEX All Share fell 13.55% from 109.69 points in December 2022.

## SECTION C: ABOUT THE COMMISSION

### 3. About the Commission

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines the short-term insurance sector developments and IPEC's various activities consistent with its statutory mandate for the year ended 31 December 2022.

#### 3.1 Term of Reference

The activities of the Commission are guided by the following Acts:

- 3.1.1 Insurance and Pensions Commission Act [Chapter 24:21];
- 3.1.2 Pensions and Provident Funds Act [Chapter 24:32];
- 3.1.3 Insurance Act [Chapter 24:07];
- 3.1.4 Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- 3.1.5 Finance Act [Chapter 23:04];
- 3.1.6 Public Entities and Corporate Governance Act [Chapter 10:31];
- 3.1.7 Public Finance Management Act [Chapter 22:19]; and
- 3.1.8 Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

#### 3.2 The Architecture of the Short-Term Insurance Industry

There were one thousand one hundred and thirty-three (1,133) registered entities/persons in the short-term insurance industry as at 31 December 2022. The architecture of the industry is shown in table 2 below:

**Table 2: Architecture of the Short-Term Insurance Industry**

| Type of Institution              | Number of Registered Entities/ Persons as at |                     |
|----------------------------------|----------------------------------------------|---------------------|
|                                  | 31- December - 2022                          | 31- December - 2021 |
| Insurance Companies              | 20                                           | 19                  |
| Microinsurance Companies         | 10                                           | 5                   |
| Reinsurance Companies*           | 10                                           | 9                   |
| Insurance Brokers                | 28                                           | 28                  |
| Reinsurance Brokers              | 8                                            | 8                   |
| Underwriting Management Agencies | 4                                            | 2                   |
| Loss assessors                   | 56                                           | 49                  |
| Corporate agents                 | 184                                          | 165                 |
| Sole agents                      | 813                                          | 664                 |
| <b>Total</b>                     | <b>1,133</b>                                 | <b>949</b>          |

\* Transaxis Reinsurance Company was recently registered and in the fourth quarter of 2022 it was not writing any business. Therefore, the reinsurance sector reported figures relates to 9 reinsurers.

\*Four reinsurers namely Emeritus Reinsurance Company, FBC Reinsurance Company, First Mutual Reinsurance Company and Zep Re are composite reinsurers who also write life business. However, the figures in this report pertain to their short-term business only.

### 3.3 Licensing

#### Registration of new Players

3.3.1 During the fourth quarter ended 31 December 2022, the Commission registered 18 entities as listed in table 3 below:

**Table 3: Entities registered during the quarter ended 31 December 2022**

| NAME OF ENTITY         | CLASS           | DATE REGISTERED (2022) |
|------------------------|-----------------|------------------------|
| Zero Seven Zero Nine   | Multiple Agent  | 03-Oct                 |
| TaftsoK                | Loss Adjuster   | 03-Oct                 |
| Snit                   | Multiple Agent  | 03-Oct                 |
| Pinitis                | Corporate Agent | 03-Oct                 |
| Elmejor Inc            | Loss Adjuster   | 10-Oct                 |
| Tatu Capital           | Corporate Agent | 11-Oct                 |
| Magnum                 | Loss Adjuster   | 11-Oct                 |
| Distinct               | Multiple Agent  | 11-Oct                 |
| Earth Health           | Corporate Agent | 18-Oct                 |
| Rainbow Gateway        | Corporate Agent | 18-Oct                 |
| Nastus Incorporated    | Corporate Agent | 21-Oct                 |
| Insuremart Investments | Corporate Agent | 31-Oct                 |
| Highground             | Microinsurance  | 14-Nov                 |
| Steward Bank Limited   | Corporate Agent | 24-Nov                 |
| Bluestreak Risk        | Corporate Agent | 14-Dec                 |
| Enpasent               | Multiple Agent  | 16-Dec                 |
| STF Capital            | Multiple Agent  | 16-Dec                 |
| Starley                | Corporate Agent | 16-Dec                 |



## SECTION D: INSURANCE COMPANIES

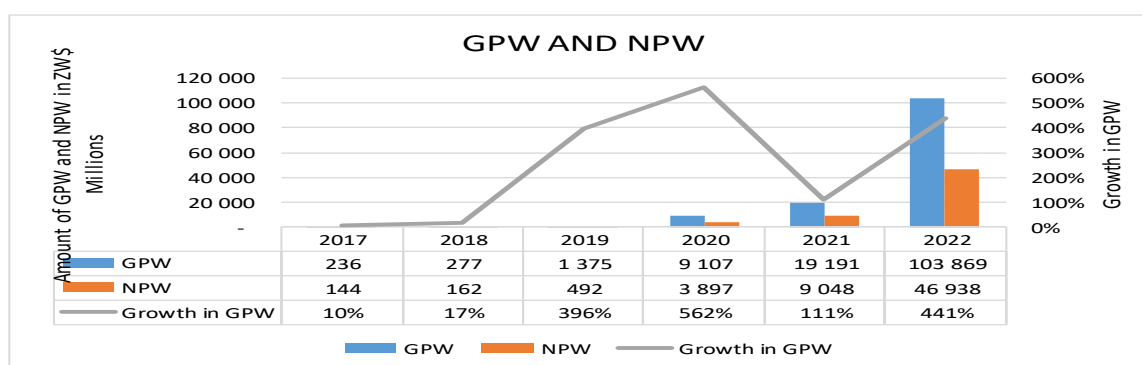
### 4. Insurance Companies

#### 4.1 Performance in terms of business written

4.1.1 Total GPW by short-term insurers increased by 441% in nominal terms from ZW\$19.19 billion reported for the year ended 31 December 2021 to ZW\$103.87 billion during the comparative period in 2022.

4.1.2 This growth is mainly attributable to insurance premiums tracking inflation developments. Figure 3 below shows the trend in the volume of business generated by short-term insurers from 2017 to 2022.

**Figure 3: Short-Term Insurers' growth trend in business written (Dec 2017 – Dec 2022)**



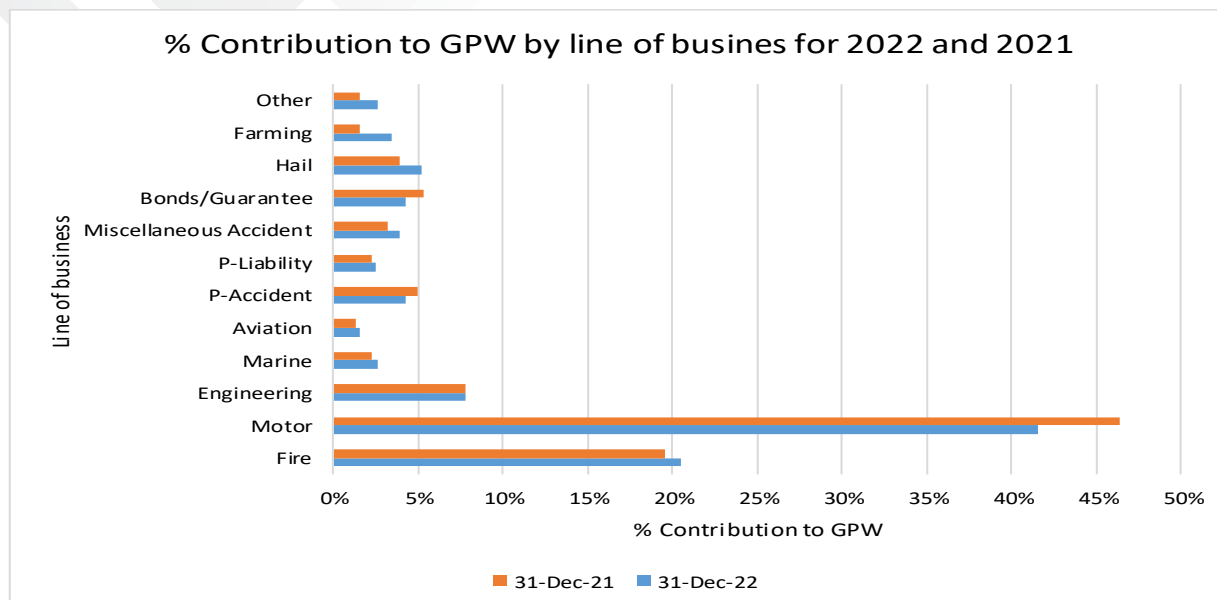
**Table 4: Short-Term Insurers' GPW by Line of Business**

| Class of Business      | Gross Premium Written (ZW\$ Million) |                      |               | Nominal % change | Inflation adjusted % change |
|------------------------|--------------------------------------|----------------------|---------------|------------------|-----------------------------|
|                        | 31-Dec-22<br>Inflation Adjusted      | 31-Dec-22<br>Nominal | 31-Dec-21     |                  |                             |
| Fire                   | 6 180                                | 21 246               | 3 752         | 466%             | 65%                         |
| Motor                  | 12 554                               | 43 161               | 8 888         | 386%             | 41%                         |
| Engineering            | 2 353                                | 8 089                | 1 482         | 446%             | 59%                         |
| Marine                 | 775                                  | 2 664                | 440           | 506%             | 76%                         |
| Aviation               | 466                                  | 1 603                | 259           | 520%             | 80%                         |
| P-Accident             | 1 280                                | 4 401                | 955           | 361%             | 34%                         |
| P-Liability            | 758                                  | 2 606                | 430           | 506%             | 76%                         |
| Miscellaneous Accident | 1 186                                | 4 078                | 620           | 557%             | 91%                         |
| Bonds/Guarantee        | 1 286                                | 4 422                | 1 020         | 333%             | 26%                         |
| Hail                   | 1 564                                | 5 377                | 756           | 611%             | 107%                        |
| Farming                | 1 035                                | 3 557                | 290           | 1128%            | 257%                        |
| Other                  | 776                                  | 2 666                | 300           | 789%             | 159%                        |
| <b>Total</b>           | <b>30 212</b>                        | <b>103 869</b>       | <b>19 191</b> | <b>441%</b>      | <b>57%</b>                  |

\*Other comprises of casualty, directors' liability, health, hire purchase.

4.1.3 As shown in Table 4 above, the real increase in GPW during the year 2022 was 57%. In terms of real growth, all the lines of business experienced positive real growth. Figure 4 below shows the breakdown of GPW by line of business.

**Figure 4: Breakdown of GPW by line of business for Short-Term**



*\*Others comprise of casualty, directors' liability, health, hire purchase*

4.1.4 Motor and fire insurance maintained their dominance as the major sources of business, contributing a combined 62% of the GPW during the year 2022 although this is a decline from 66% recorded during the comparative period in 2021.

4.1.5 The continued dominance of motor insurance as a mandatory class of insurance business calls for concerted efforts by all stakeholders to address legacy issues militating against confidence in the insurance industry as well as demystify insurance as an input as opposed to an expense to business operations.

## 4.2 Foreign Currency Denominated Business

4.2.1 Gross Premium Written in foreign currency for the twelve months ended 31 December 2022 was US\$143.85 million, having increased by 42% from US\$101.48 million reported in 2021. Table 5 below shows the breakdown of foreign currency denominated business by line of business for 2021 and 2022.

**Table 5: Short-term insurers' USD GPW by line of business**

| Line of Business       | GPW (US\$ million) |               | % Change   |
|------------------------|--------------------|---------------|------------|
|                        | 31-Dec-22          | 31-Dec-21     |            |
| Motor                  | 42,50              | 29,13         | 46%        |
| Fire                   | 30,39              | 16,35         | 86%        |
| Assets All Risk        | 16,31              | 11,57         | 41%        |
| Hail                   | 8,51               | 6,55          | 30%        |
| Marine                 | 5,81               | 4,00          | 45%        |
| P-Accident             | 5,74               | 5,41          | 6%         |
| Bonds/Guarantee        | 5,51               | 3,28          | 68%        |
| Miscellaneous Accident | 5,41               | 3,47          | 56%        |
| Engineering            | 5,02               | 3,29          | 53%        |
| Farming                | 5,01               | 4,58          | 9%         |
| Aviation               | 4,03               | 2,87          | 40%        |
| Liability              | 4,01               | 2,20          | 82%        |
| Other                  | 5,60               | 8,79          | -36%       |
| <b>Total</b>           | <b>143,85</b>      | <b>101,49</b> | <b>42%</b> |

\*Other include Bankers Blanket Policy, Contractors All Risk and Health

**Table 6: Short-term insurers' USD GPW 2022 Market Share by line of business**

| Line of Business  | GPW (US\$ million) | Market Share |
|-------------------|--------------------|--------------|
| Motor             | 42.50              | 30%          |
| Fire              | 30.39              | 21%          |
| Assets All Risk   | 16.31              | 11%          |
| Hail              | 8.51               | 6%           |
| Marine            | 5.81               | 4%           |
| P-Accident        | 5.74               | 4%           |
| Bonds/Guarantee   | 5.51               | 4%           |
| Misc Accident     | 5.41               | 4%           |
| Engineering       | 5.02               | 3%           |
| Farming           | 5.01               | 3%           |
| Aviation          | 4.03               | 3%           |
| Liability         | 4.01               | 3%           |
| Business Combined | 1.65               | 1%           |
| Money All Risk    | 1.07               | 1%           |
| Other             | 2.88               | 2%           |
| <b>Total</b>      | <b>143.85</b>      | <b>100%</b>  |

\*Other includes Bankers Blanket Policy, Contractors All Risk and Health



4.2.2 As shown in table 6 above and in line with trends in the Zimbabwe dollar denominated business, the major sources of foreign currency denominated business for short-term insurers were motor and fire, contributing a combined 51% of the total business written for the year ending December 2022.

### 4.3 Capitalisation

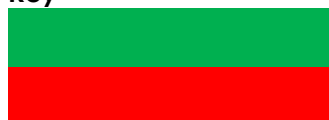
4.3.1 All twenty (20) insurers reported capital positions that were above the minimum capital requirement of ZW\$37.5 million as at 31 December 2022. The reported capital positions were computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. The reported capital positions are shown in table 7 below.

**Table 7: Capitalisation as at 31 December 2022 and 31 December 2021**

| Name of Company | Reported capital positions (ZW\$ million) |                  |
|-----------------|-------------------------------------------|------------------|
|                 | 31-Dec-22                                 | 31-Dec-21        |
| Alliance        | 4,699.55                                  | 1,610.60         |
| Allied          | 1,644.08                                  | 251.56           |
| CBZ             | 570.11                                    | 169.28           |
| Cell            | 2,353.99                                  | 510.45           |
| Champions       | 1,625.99                                  | 216.36           |
| Clarion         | 1,614.65                                  | 192.07           |
| Credsure        | 1,309.92                                  | 174.28           |
| Econet          | 2,377.89                                  | 659.90           |
| Evolution       | 475.06                                    | 536.10           |
| ECGC            | 1,783.93                                  | 401.65           |
| FBC             | 2,064.79                                  | 432.11           |
| Hamilton        | 504.89                                    | 124.96           |
| Nicoz Diamond   | 3,698.55                                  | 1,252.39         |
| Old Mutual      | 8,891.59                                  | 2,678.80         |
| Quality         | 740.69                                    | 399.86           |
| Safel           | 1,412.75                                  | 1,118.29         |
| Sanctuary       | 418.90                                    | 199.07           |
| Empaya          | 97.08                                     | -                |
| Zimnat Lion     | 4,370.79                                  | 386.83           |
| AFC             | 13,456.06                                 | -                |
| <b>Total</b>    | <b>54,111.26</b>                          | <b>11,314.56</b> |

\*AFC was registered in August 2022 while Empaya had not started operating

#### Key



Above minimum capital requirement of ZW\$37.5 million

Below minimum capital requirement of ZW\$37.5 million

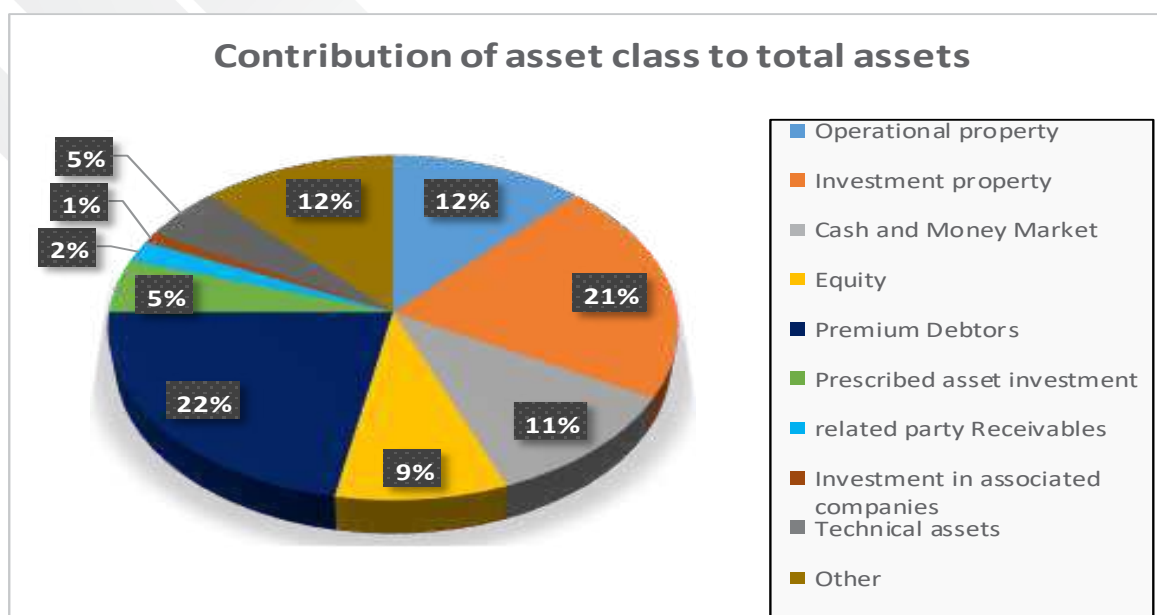
- 4.3.2 Insurers are being urged to adequately prepare for the risk-based capital regime, which will be implemented under the auspices of the Zimbabwe Integrating Capital & Risk Programme (ZICARP) in 2023.
- 4.3.3 All the short-term insurers were compliant with the minimum solvency margin of 25% as stipulated in Section 24(1a) (ii) of the Insurance Act [Chapter 24:07] as shown in Appendix 1C.

#### **4.4 Asset quality**

- 4.4.1 Total assets for short-term insurers increased by 428% from ZW\$20.03 billion reported as at 31 December 2021 to ZW\$105.77 billion reported as at 31 December 2022. Premium debtors constituted the largest portion of total assets at 22%, having increased by 635% in nominal terms from ZW\$3.22 billion reported as at 31 December 2021 to ZW\$23.66 billion as at 31 December 2022.
- 4.4.2 The continued undesirable increase in premium debtors remains a credit risk management concern that requires urgent attention by insurers. Industry players are encouraged to operationalise the No Premium No Cover self-regulation as a stop-gap measure as the Commission continues to engage relevant authorities for the approval and gazetting of the No Premium No Cover Policy regulations to address the challenge of premium debtors.
- 4.4.3 Investments in prescribed assets increased by 1,226% from ZW\$0.38 billion as at 31 December 2021 to ZW\$5.11 billion as at 31 December 2022. Despite the increase in prescribed asset investments, only four of the twenty short-term insurers were compliant with the minimum prescribed asset ratio of 10%.
- 4.4.4 Compliance with prescribed asset requirements remains very low. To ensure compliance with prescribed asset requirements, the Commission will be escalating regulatory measures in line with Statutory Instrument 206 of 2019.

4.4.5 The breakdown of total assets by asset class as at 31 December 2022 is shown in Figure 5 below:

**Figure 5: The breakdown of total assets by class**



*\*Other include intangible assets, long term fixed deposits, mortgage and loans*

4.4.6 Premium debtors and investment property were the two major asset classes accounting for 43% of total assets. Investment property alone constituted 21% against a limit of 10% while premium debtors and other assets contributed 22% and 12% respectively against a limit of 5% in violation of Circular 2 of 2013.

4.4.7 Short-term insurance players are encouraged to structure their investment portfolios in ways that enable not only the preservation of policyholder value, but also promotes a balanced investment mix in line with the Commission's investment limits and asset/liability profiles.

## 4.5 Reinsurance

4.5.1 The industry's average retention ratio decreased from 54% for the year ended 31 December 2021 to 45% for the comparative period in 2022. This shows a decrease in the average risk appetite by the direct short-term insurers.

4.5.2 Retention ratios for individual insurers during the period under review ranged from 2% to 100%. The Commission has noted that the outliers in the retention ratios on one hand relate to insurers whose books are

predominately agriculture which is mostly high-risk and is almost entirely reinsured. On the other hand, the dearth of innovation has seen mandatory motor insurance dominating short term insurance business. This has resulted in insurers whose book is predominantly motor insurance retaining 100% of their book given that statutory limits in Third Party motor insurance liabilities.

#### **4.6 Technical Position**

- 4.6.1 Technical liabilities for the short-term insurers increased by 518% from ZW\$3.38 billion as at 31 December 2021 to ZW\$20.89 billion as at 31 December 2022. The average liquid assets to technical reserves for the period under review increased from 88% in 2021 to 103% during the comparative period in 2022. The increase in the average liquid assets to technical reserves demonstrates a more cautious approach in setting aside more liquid assets for unexpected claims.
- 4.6.2 The technical assets for the short-term insurance sector increased by 467% from ZW\$0.94 billion as at 31 December 2021 to ZW\$5.33 billion as at 31 December 2022. Technical assets were ZW\$15.56 billion lower than the technical liabilities. The low technical assets to technical liabilities may be attributed to Third Party Insurance as the major source of business for short-term insurers. Ordinarily insurers do not make any reinsurance arrangements for third-party motor insurance because of statutory limits on claims. The highest proportion of technical assets was accounted for by UPR which is not recoverable from the reinsurers. The industry is encouraged to improve on claims settlement patterns to reduce outstanding liabilities.

#### **4.7 Earnings**

- 4.7.1 Short-term insurers reported a total profit after tax of ZW\$13.89 billion for the twelve months ending 31 December 2022, indicating a nominal increase of 206% from the ZW\$4.54 billion reported during the comparative period in 2021.

- 4.7.2 The combined ratio for short-term insurers remains a cause for concern at 105% as at 31 December 2022 from 106% reported during the period ended 31 December 2021.
- 4.7.3 In line with the high combined ratio, the short-term insurers made an underwriting loss of ZW\$7.35 billion compared to an underwriting loss of ZW\$0.51 billion during the comparative period in 2021. The increase in underwriting losses is due to high operating expenses and high claims experience during the year 2022.
- 4.7.4 Nine (9) out of twenty (20) short-term insurers reported underwriting losses during the reporting period in 2022.
- 4.7.5 The average net commission ratio was 6% during the period under review compared to 13% during the comparative period in 2021. The decrease bears testimony to the Commission's corrective measures for the industry to pay commission rates in line with the Commission rates as outlined in Circular 2 of 2009. Insurers are reminded to observe the dictates of the Circular 2 of 2009 with regards to commission rates. The highest net commission paid by a short-term insurer during the period under review was 33% of earned premiums compared to 50% during the same period in 2021. (For more performance indicators for short-term insurers', please refer to Appendix 1C).
- 4.7.6 The industry's average return on assets (ROA) and return on equity (ROE) were 26% and 51% respectively for the period under review, compared to 45% and 80% respectively for the year ended 31 December 2021. The decrease in ROA shows that the industry is not fairly utilising its investment assets to increase profitability. (For more performance indicators on profitability refer to Appendix 1C under earnings).

## **4.8 Liquidity**

- 4.8.1 Liquid assets in the form of cash and money market instruments increased by 501% from ZW\$2.02 billion as at 31 December 2021 to ZW\$12.15 billion as at 31 December 2022. Six (6) out of the twenty (20)

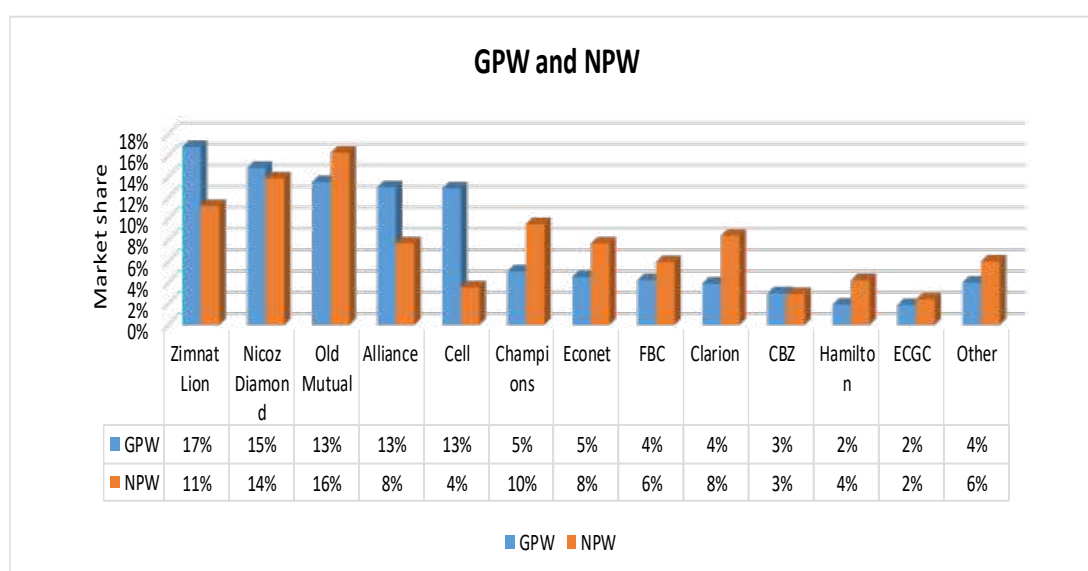
short-term insurers reported negative working capital ratios while the industry's acid test ratio averaged 36% as at 31 December 2022.

4.8.2 The low ratio is a cause for concern as short-term insurers face a high liquidity risk leading to a low capacity to meet short-term financial obligations. The acid test ratio for insurers as at 31 December 2022 ranged from -36% to 391% as shown in Appendix 1C.

#### 4.9 Market share

4.9.1 The market leaders in terms of GPW were Zimnat Lion, Nicoz Diamond, Old Mutual, Alliance and Cell Insurance with a combined market share of 71% for the year ended 31 December 2022. The market leaders in terms of NPW were Old Mutual, Nicoz Diamond and Zimnat Lion Insurance with a combined market share of 41%. Figure 6 below shows the market share in terms of GPW and NPW for all insurers:

**Figure 6: Market Share for Short-Term Insurers in Terms of GPW**

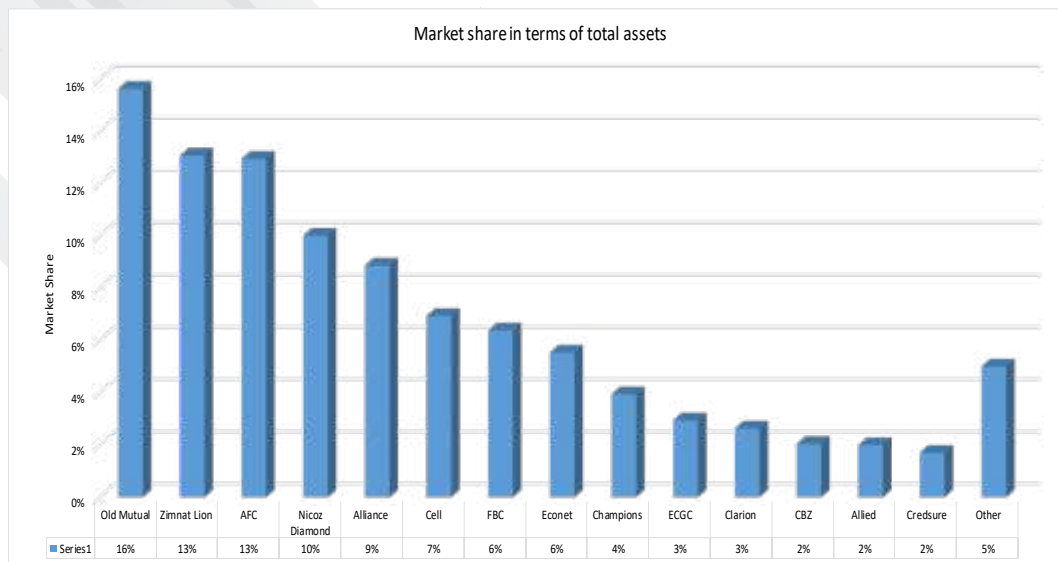


\*Other includes AFC, Allied, Credsure, Empaya, Evolution, Safel, Sanctuary, and Quality

4.9.2 In terms of total assets, the market leaders were Old Mutual, Zimnat Lion and AFC with a combined market share of 42% as shown in Figure 7 below.



**Figure 7: Market Share for Short-Term Insurers in Terms of Assets**

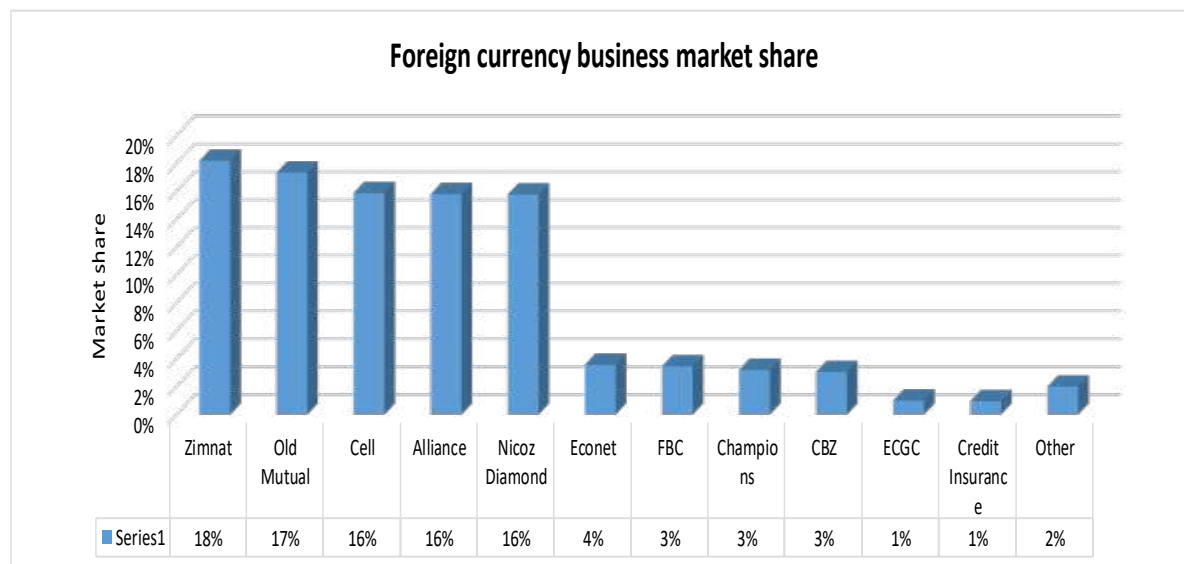


*\*Other includes Empaya, Evolution, Hamilton, Safel, Sanctuary and Quality*

#### 4.10 Market Share in terms of Foreign Currency Denominated Business

4.10.1 Zimnat Lion, Old Mutual, Cell Insurance, Alliance and Nicos Diamond Insurance dominated the market with a combined market share of 83% in terms of foreign currency denominated GPW. This is shown in Figure 8 below.

**Figure 8: Market Share for Short-Term Insurers in Terms of foreign currency denominated business**



*\*Other includes AFC, Allied, Clarion, Empaya, Evolution, Hamilton, Safel, Sanctuary and Quality*

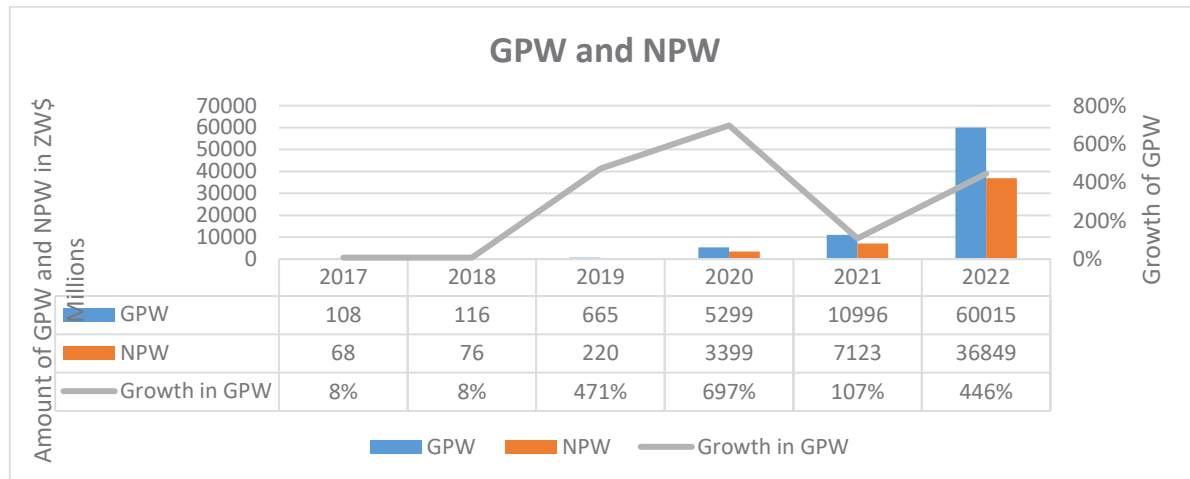
## SECTION E: REINSURANCE COMPANIES

### 5. Reinsurance Companies

#### 5.1 Performance in terms of business written.

5.1.1 The total business written by short-term reinsurers increased by 455% from ZW\$11 billion for the year ended 31 December 2021 to ZW\$60 billion for the comparative period in 2022. Figure 9 below shows the trend in the volume of business written by short-term reinsurers from 2017 to 2022:

**Figure 9: Short-Term Reinsurers' growth trend in business written 2017 – 2022.**



5.1.2 This growth is mainly attributable to insurance premiums tracking inflation developments. Table 8 below shows the percentage growth in GPW for different business lines:

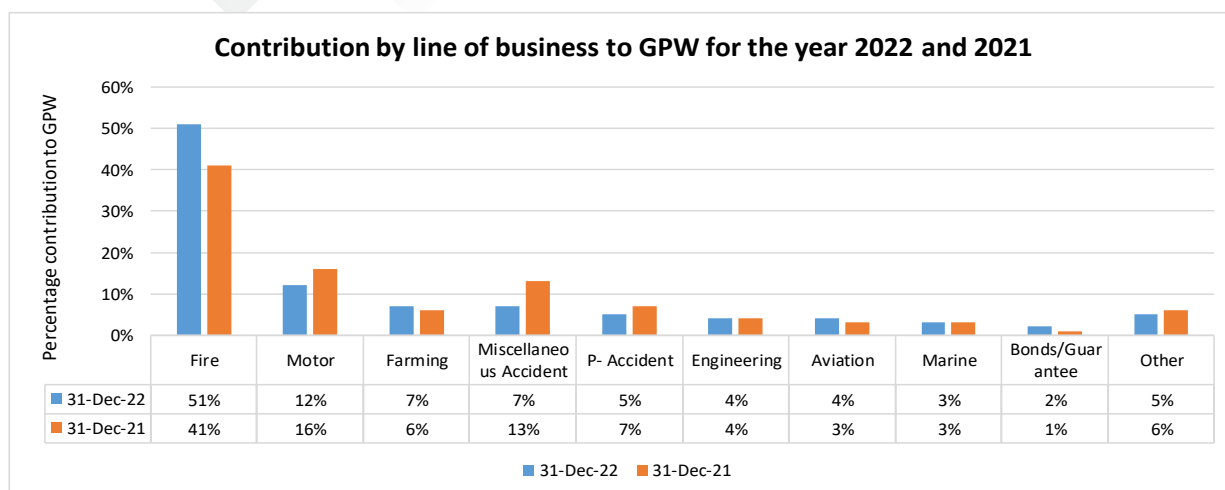
**Table 8: Short-Term Reinsurers' GPW by Line of Business**

| Class of Business      | Gross Premium Written (ZW\$ Million) |                      |               | Nominal % change | Inflation adjusted % change |
|------------------------|--------------------------------------|----------------------|---------------|------------------|-----------------------------|
|                        | 30-Dec-22<br>Inflation Adjusted      | 30-Dec-22<br>Nominal | 31-Dec-21     |                  |                             |
| Fire                   | 8 925                                | 30 683               | 4 529         | 577%             | 97%                         |
| Motor                  | 2 119                                | 7 285                | 1 766         | 312%             | 20%                         |
| Engineering            | 639                                  | 2 198                | 393           | 459%             | 63%                         |
| Marine                 | 464                                  | 1 596                | 303           | 427%             | 53%                         |
| Aviation               | 653                                  | 2 245                | 334           | 573%             | 96%                         |
| P-Accident             | 946                                  | 3 254                | 817           | 298%             | 16%                         |
| P-Liability            | 115                                  | 396                  | 115           | 245%             | 0%                          |
| Miscellaneous Accident | 1 204                                | 4 140                | 1 391         | 198%             | -13%                        |
| Bonds/Guarantee        | 321                                  | 1 103                | 150           | 635%             | 114%                        |
| Hail                   | 52                                   | 179                  | 29            | 512%             | 78%                         |
| Farming                | 1 143                                | 3 929                | 680           | 477%             | 68%                         |
| Other                  | 875                                  | 3 007                | 476           | 532%             | 84%                         |
| <b>Total</b>           | <b>17 456</b>                        | <b>60 015</b>        | <b>10 983</b> | <b>446%</b>      | <b>59%</b>                  |

\*Other comprises of casualty, directors' liability, health, hire purchase.

5.1.3 As shown in table 8 above, the real increase in GPW during the year ended 31 December 2022 was 59%. In terms of real growth, only miscellaneous accident had negative growth rate of 13%. Figure 10 below shows the contribution to GPW by line of business for short-term reinsurers.

**Figure 10: The contribution to GPW by line of business for short-term reinsurers**



\*Other comprises of hire purchase, hail, health, casualty, and P-liability.

5.1.4 In line with developments in the short-term direct business, fire and motor lines of business were the major sources of business for both 2021 and 2022. The two lines of business contributed 63% of the total GPW in 2022 up from 57% during the same period in 2021. While fire insurance was the major source of business for reinsurers, motor insurance was the major source of business for direct underwriters indicating that direct underwriters retained the major portion of motor insurance risk confirming that third party motor insurance has remained the major source of business in the local market.

## 5.2 Foreign currency denominated business

5.2.1 The total foreign currency denominated business written by short-term reinsurers increased by 50% from US\$81.33 million reported during 2021 to US\$122.10 million during the comparative period in 2022.

5.2.2 Table 9 shows the GPW by line of business for the year 2022 and 2021:

**Table 9: US\$ GPW by line of business for the year 2022 and 2021**

| Line of Business       | US\$ GPW in Millions of dollars |              | % Change   |
|------------------------|---------------------------------|--------------|------------|
|                        | 31-Dec-22                       | 31-Dec-21    |            |
| Fire                   | 64,59                           | 37,96        | 70%        |
| Motor                  | 10,72                           | 12,57        | -15%       |
| Miscellaneous Accident | 9,13                            | 4,28         | 113%       |
| Farming                | 8,82                            | 5,51         | 60%        |
| P-Accident             | 7,74                            | 7,50         | 3%         |
| Aviation               | 6,00                            | 2,18         | 176%       |
| Engineering            | 3,49                            | 2,77         | 26%        |
| Marine                 | 3,08                            | 2,82         | 9%         |
| Bonds/Guarantee        | 2,07                            | 0,10         | 2063%      |
| Other                  | 6,45                            | 5,65         | 14%        |
| <b>Total</b>           | <b>122,10</b>                   | <b>81,33</b> | <b>50%</b> |

\*Other include Casualty, Hire purchase, Hail, Health and Personal liability

5.2.3 As shown in table 9 above, only motor insurance line of business had negative growth of 15%. Consistent with the 2021 trend in foreign currency denominated business, the major classes of business written by short-term reinsurers were fire and motor insurance business contributing a combined 62% of the gross premium written for the year ended 31 December 2021. Table 10 below shows the percentage contribution of each line of business to the total US\$ GPW.

**Table 10: Foreign currency denominated GPW by line of business for the year ended 31 December 2022**

| Line of Business       | GPW in US\$ Millions | Market Share |
|------------------------|----------------------|--------------|
| Fire                   | 64,59                | 53%          |
| Motor                  | 10,72                | 9%           |
| Miscellaneous Accident | 9,13                 | 7%           |
| Farming                | 8,82                 | 7%           |
| P-Accident             | 7,74                 | 6%           |
| Aviation               | 6,00                 | 5%           |
| Engineering            | 3,49                 | 3%           |
| Marine                 | 3,08                 | 3%           |
| Bonds/Guarantee        | 2,07                 | 2%           |
| Casualty               | 2,96                 | 2%           |
| Other                  | 3,49                 | 3%           |
| <b>Total</b>           | <b>122,10</b>        | <b>100%</b>  |

\*Other includes Directors liability, Hail, Hire Purchase, Health, GIT and Terrorism

## 5.3 Capitalisation

5.3.1 As at 31 December 2022, all the registered short-term reinsurers reported capital positions compliant with the minimum capital requirement of ZW\$75 million. The reported capital positions for short-term reinsurers as at 31 December 2021 and 31 December 2022 are shown in Table 11 below.

**Table 11: Reported capital position for short term reinsurers**

| Name of Company | Reported Capital Position (ZW\$ millions) |                 |
|-----------------|-------------------------------------------|-----------------|
|                 | 31-Dec-22                                 | 31-Dec-21       |
| WAICA RE        | 5 628,31                                  | 676,12          |
| Emeritus Re     | 3 447,39                                  | 775,3           |
| FBC Re          | 1 716,88                                  | 1004,48         |
| ZB Re           | 5 225,12                                  | 962,1           |
| FMRE            | 1 213,97                                  | 585,43          |
| ZEP Re          | 8 166,10                                  | 985,39          |
| Muca Re         | 1 161,87                                  | -               |
| Grand Re        | 3 064,49                                  | 346,21          |
| Tropical Re     | 3 592,88                                  | 587,47          |
| <b>Total</b>    | <b>33 217,02</b>                          | <b>5 922,50</b> |

\* Muca Re was not part of the registered entities in December 2021.

#### Key

|                                                                                   |                                                     |
|-----------------------------------------------------------------------------------|-----------------------------------------------------|
|  | Above minimum capital requirement of ZW\$75 million |
|  | Below minimum capital requirement of ZW\$75 million |

5.3.2 Reinsurers are urged to adequately prepare for implementation of the risk-based capital regime, the Zimbabwe Integrating Capital & Risk Programme (ZICARP). Meanwhile, the Commission is awaiting gazetting of the regulations for USD-indexed Minimum Capital Requirements.

5.3.3 All the reinsurers were compliant with the minimum solvency margin of 25% as stipulated in Section 24(1a) (ii) of the Insurance Act [Chapter 24:07]. The solvency margin for individual reinsurers as at 31 December 2022 ranged from 44% to 223% as shown in Appendix 2C.

## 5.4 Asset quality

5.4.1 The asset base for short-term reinsurers increased by 482% from ZW\$12.70 billion reported as at 31 December 2021 to ZW\$73.89 billion as at 31 December 2022. Investments in prescribed assets increased from ZW\$1.63 billion to ZW\$8.41 billion. However, only four (4) out of the nine (9) reinsurers were compliant with the minimum prescribed asset threshold of 10%.

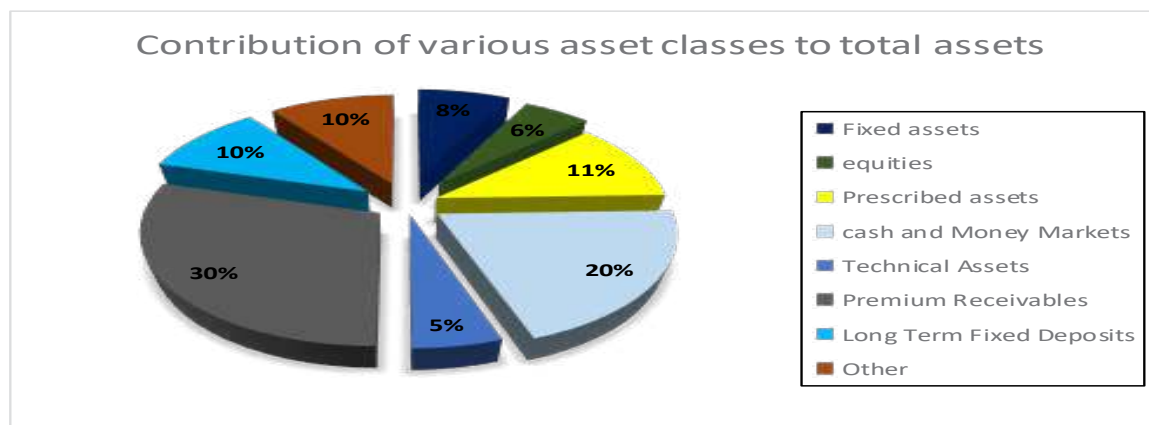
5.4.2 Premium receivables increased from ZW\$2.23 billion as at 31 December 2021 to ZW\$21.76 billion as at 31 December 2022, indicating an increase of 876%. The increase in premium receivables remains a cause for

concern as it indicates ineffective credit control systems which compromises the settlement of policyholder claims.

5.4.3 The contribution of various asset classes to total assets as at 31 December 2022 is shown in

5.4.4 Figure 11 below:

**Figure 11: Short-Term Reinsurers' Total Assets: Contribution by Asset Class**



*\*Other includes investments in associated companies, mortgages and loans, intangible assets and related party receivables*

5.4.5 Premium receivables and cash and money market instruments were the major asset classes contributing 20% and 30% of total assets respectively.

## 5.5 Technical Position

5.5.1 Total technical liabilities increased from ZW\$4.01 billion as at 31 December 2021 to ZW\$18.76 billion as at 31 December 2022 indicating an increase of 368%. Unearned Premium Reserves, which amounted to ZW\$9.18 billion accounted for 49% of the total technical liabilities.

5.5.2 The technical assets increased from ZW\$0.94 billion as at 31 December 2021 to ZW\$3.90 billion as at 31 December 2022, an increase of 315%. Technical assets are ZW\$14.86 billion lower than the technical liabilities. The highest proportion of the reinsurers' technical assets is the UPR which is not recoverable from the retrocessionaires. The industry is encouraged to improve on the claims settlement pattern to reduce outstanding liabilities.



## **5.6 Retrocession**

- 5.6.1 Reinsurers' average retention ratio was 61% for the year ended 31 December 2022 compared to 65% during the comparative period in 2021. This reflects a slight decrease in risk appetite by the short-term reinsurance companies.
- 5.6.2 Reinsurers reported retention ratios ranging from 40% to 87% for the period under review. (See Appendix 2C for more ratios).

## **5.7 Earnings**

- 5.7.1 Total profit after tax for short-term reinsurers increased by 436% from ZW\$2.43 billion for the period ended 31 December 2021 to ZW\$13.02 billion for the period ended 31 December 2022.
- 5.7.2 The average net commission ratio was 27% for the period under review compared to 31% for the year ended 31 December 2021. This shows that the average commission paid by short-term reinsurers slightly decreased when compared to the same period in 2021. The highest net commission ratio paid by a short-term reinsurer during the period under review was 38% of earned premiums, in violation of the limits prescribed by Circular 2 of 2009.
- 5.7.3 The average combined ratio for the short-term reinsurers deteriorated from 82% for the year ended 31 December 2021 to 111% for the period under review. The increase indicates a decline in underwriting profit. The combined ratio and other ratios that relate to profitability for short-term reinsurers are shown in Appendix 2C under earnings.
- 5.7.4 The industry's average return on assets (ROA) and return on equity (ROE) were 35% and 78% for the period under review, compared to 53% and 115% respectively for the twelve months of 2021. The decrease in ROA shows that the short-term reinsurance sector is not fairly utilising investment assets to increase profitability. (For more performance indicators on profitability refer to Appendix 2C under earnings).

## 5.8 Liquidity

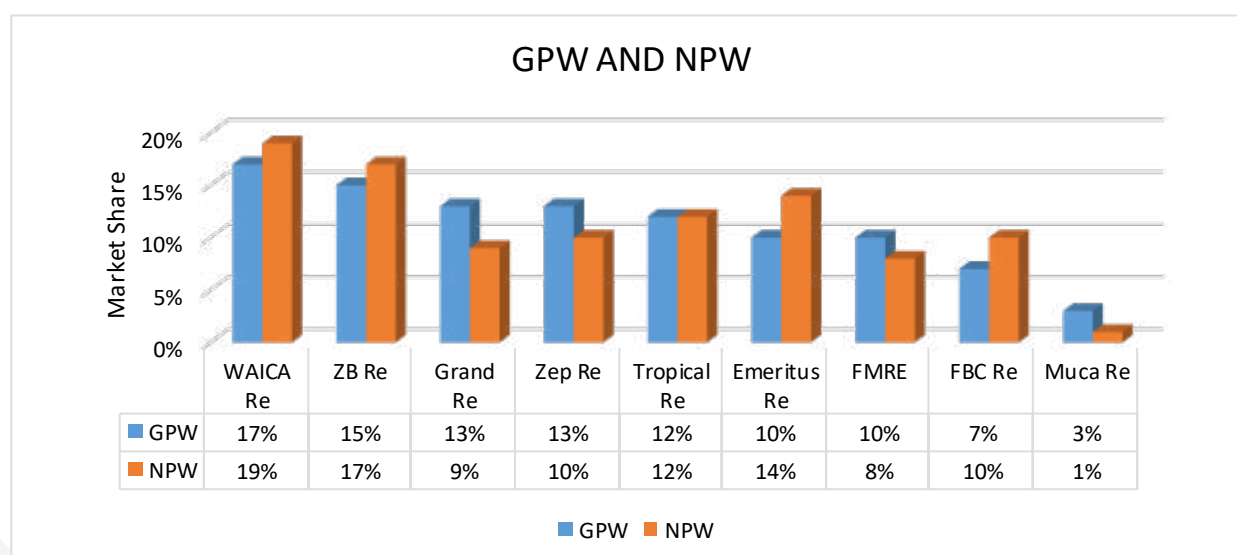
5.8.1 Liquid assets in the form of cash and money market instruments held by short-term reinsurers increased by 437% from ZW\$2.77 billion as at 31 December 2021 to ZW\$14.88 billion as at 31 December 2022. One (1) out of the nine (9) short-term reinsurers had a negative working capital ratio and is encouraged to invest in liquid assets to ensure the timely settlement of claims.

5.8.2 The average acid test ratio for short-term reinsurers decreased from 68% as at 31 December 2021 to 59% as at 31 December 2022. The decrease in average acid test ratio indicates an increase in liquidity risk for short-term reinsurers. The acid test ratios for short-term reinsurers are shown in Appendix 2 C under liquidity.

## 5.9 Market Share for reinsurers

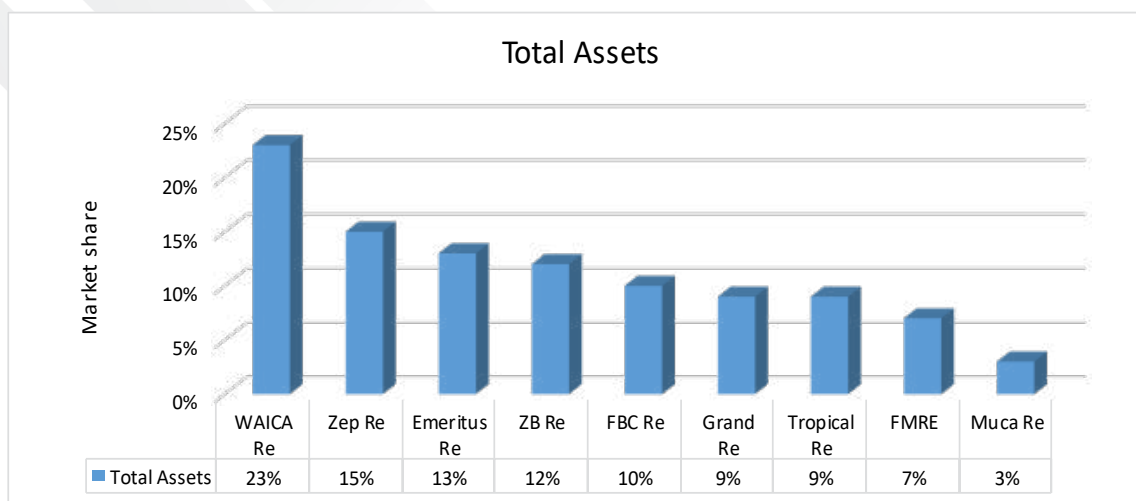
5.9.1 As shown in Figure 12 below, the market leaders in terms of GPW were WAICA Re, ZB Re, Grand Re and Zep Re. These reinsurers controlled 59% of the market share during year ended 31 December 2022. The market leaders in terms of the Net Premium Written (NPW) were WAICA Re, ZB Re and Emeritus Re collectively controlling 50% of the market for the year ended 31 December 2022.

**Figure 12: Market Share for Short -Term Reinsurers in Terms of GPW and NPW**



5.9.2 In terms of total assets WAICA Re, Zep Re, Emeritus Re and ZB Re were the market leaders for the year ended 31 December 2022, with a combined market share of 63% as depicted Figure 13 below.

**Figure 13: Market Share for Short -Term Reinsurers in Terms of Assets**



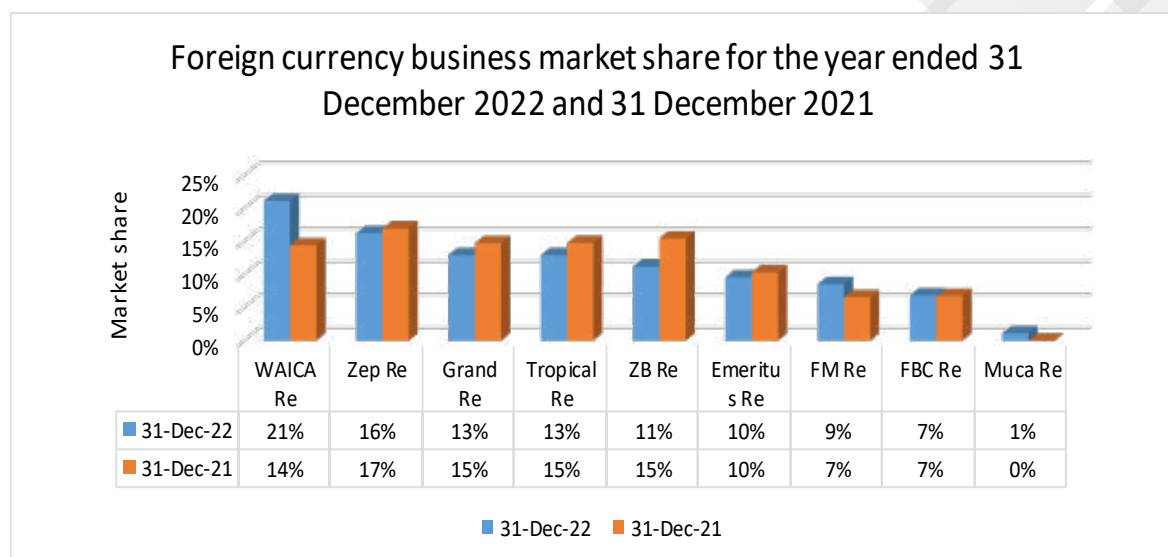
### Foreign Currency Denominated Business

5.9.3 In terms of foreign currency denominated GPW, WAICA Re, Zep Re and Grand Re were the market leaders. These reinsurers controlled 50% of the market during the year ended 31 December 2022 as shown in Table 12 below.

**Table 12: Market Share for Short-Term Reinsurers in Terms of Foreign Currency Business for the year ended 31 December 2022**

| Name of Company | GPW US\$ Millions | Market share |
|-----------------|-------------------|--------------|
| WAICA Re        | 25,81             | 21%          |
| Zep Re          | 19,84             | 16%          |
| Grand Re        | 15,79             | 13%          |
| Tropical Re     | 15,11             | 12%          |
| ZB Re           | 13,69             | 11%          |
| Emeritus Re     | 11,69             | 10%          |
| FM Re           | 10,45             | 9%           |
| FBC Re          | 8,35              | 7%           |
| Muca Re         | 1,37              | 1%           |
| <b>Total</b>    | <b>122,10</b>     | <b>100%</b>  |

**Figure 14: Market Share for Short-Term Reinsurers in Terms of Foreign Currency Business for the year ended 31 December 2022 and 31 December 2021**



## **SECTION F: MICROINSURANCE COMPANIES**

### **6. Microinsurance Companies**

#### **6.1 Introduction**

- 6.1.1 There were ten (10) registered microinsurers as at 31 December 2022. These were Coverlink Microinsurance Company, Golden Knot Microinsurance Company, EBA Microinsurance Company, Microsure Microinsurance Company, Rise Capital Microinsurance Company, Clientsure Microinsurance Company, Zambuko Microinsurance Company, Ethical Microinsurance Company, Bayce Microinsurance Company and Highground Microinsurance Company.
- 6.1.2 However, only Coverlink Microinsurance Company and Golden Knot Microinsurance Company were operating during the year ended 31 December 2022. The other micro-insurers were recently registered and not yet operating.

#### **6.2 Business written**

- 6.2.1 The total Gross Premium Written by the two (2) micro-insurers increased by 365% in nominal terms from ZW\$0.60 billion reported during the year ended 31 December 2021 to ZW\$2.78 billion reported during the same period in 2022.
- 6.2.2 In terms of foreign currency denominated business, the total gross premium written amounted to US\$247,429.84 for the year ended 31 December 2022, showing a significant increase from US\$735.01 reported for the same comparable period in 2021. The significant increase shows improved uptake of micro-insurance.

#### **6.3 Capitalisation**

- 6.3.1 As shown in Table 13 below, both micro-insurers were compliant with the minimum capital requirement of ZW\$4.5 million as at 31 December 2022.
- 6.3.2 However, all companies must prepare for the implementation of the new USD indexed Minimum Capital Requirements.

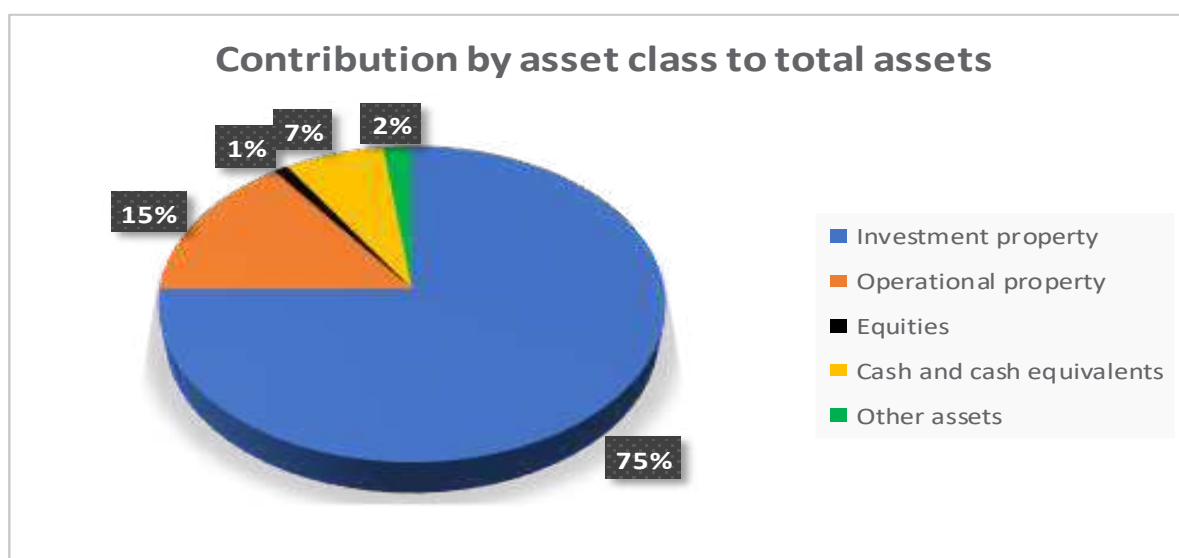
**Table 13: Reported Capital Positions for Micro-insurers**

| Micro-insurer | Reported Capital Position (ZW\$ Million) |               |
|---------------|------------------------------------------|---------------|
|               | 31-Dec-22                                | 31-Dec-21     |
| Coverlink     | 1,385.70                                 | 254.37        |
| Golden Knot   | 292.18                                   | 81.61         |
| <b>Total</b>  | <b>1,677.88</b>                          | <b>335.98</b> |

## 6.4 Asset Quality

6.4.1 The micro-insurers reported a total asset base of ZW\$4.94 billion as at 31 December 2022, which is a nominal increase of 855% from ZW\$0.52 billion reported as at 31 December 2021.

6.4.2 The contribution of various asset classes to total assets as at 31 December 2022 is shown in Figure 15 below:

**Figure 15: Breakdown of Total Assets by Class**

6.4.3 Investment property and investments in properties and equipment were the major assets class, constituting 75% and 15% respectively. Cash and cash equivalents constituted 7% of the total assets.

## 6.5 Earnings

The two micro-insurers recorded a total profit after tax of ZW\$0.76 billion for the year ended 31 December 2022 compared to ZW\$0.12 billion reported the same period in 2021. This indicates a 556% increase in profit after tax.

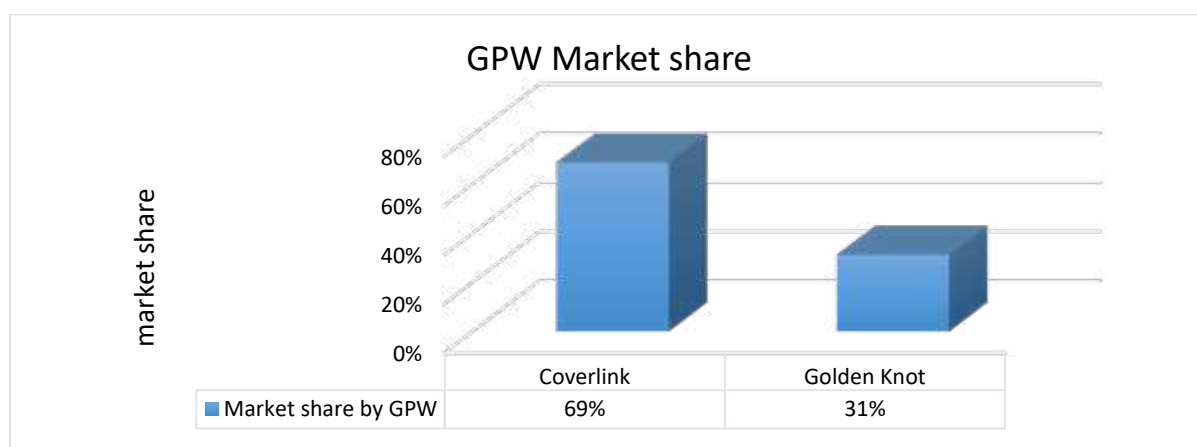
## 6.6 Liquidity

The two micro-insurers reported cash and near-cash assets amounting to ZW\$0.36 billion as at 31 December 2022 which was an increase of 984% from the ZW\$0.03 billion reported as at 31 December 2021.

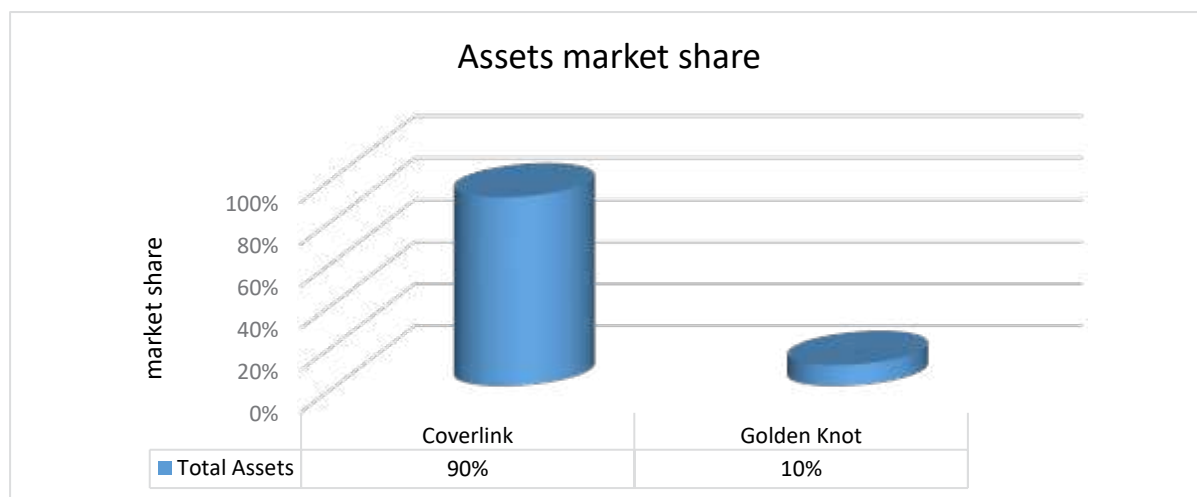
## 6.7 Market Share for Micro-insurers

6.7.1 As shown in Figure 16 and 17 below, Coverlink Microinsurance Company has remained the market leader in terms of both GPW and total assets controlling 69% and 90% of the market respectively during the year ended 31 December 2022.

**Figure 16: Market Share for Micro-insurers in Terms of GPW**

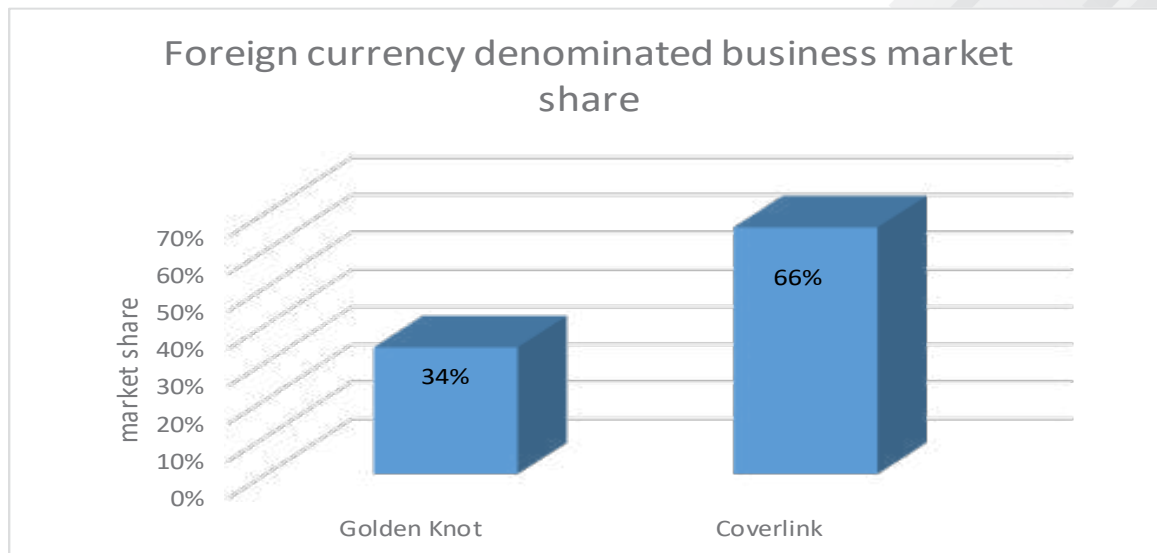


**Figure 17: Market Share for Micro-insurers in Terms of Total Assets**





**Figure 18: Market Share for Micro-insurers in Terms of Foreign Currency Denominated Business**



6.7.2 Figure 18 above shows market share for the two (2) micro-insurers in terms of foreign currency denominated business. The market leader in terms of foreign currency denominated business is Coverlink Microinsurance Company, with a market share of 66%.



## SECTION G: INSURANCE BROKERS SECTION

### 7. Insurance Brokers

#### 7.1 Introduction

7.1.1 This section analyses the business performance of insurance brokers for the period ended December 31, 2022. During the period under review there was no registration or deregistration of entities.

7.1.2 However, Paul Mkondo Insurance Brokers advised the Commission of their intention to surrender their licence and the process of cancellation is now underway. The broker was, however, excluded in the compilation of this report because they did not submit their returns.

#### 7.2 Business Written by Insurance Brokers

Insurance brokers reported gross premium receivables of ZW\$47.1 billion for the period ended 31 December 2022, which was a 352% increase in nominal terms from ZW\$10.4 billion reported during the same period in 2021. The increase in premium receivable by insurance brokers is on account of premiums tracking inflation developments.

**Table 14: Key Indicators for the Business Brokered by the Insurance Brokers for the Period Ending 31 December 2022**

| Indicator                | 31 December-2022<br>(ZW\$ million) | 31 December-2021<br>(ZW\$ million) | Percentage<br>Change |
|--------------------------|------------------------------------|------------------------------------|----------------------|
| Gross Premium Receivable | 47,111                             | 10,429                             | 352%                 |
| Gross Premium Payable    | 39,069                             | 8,859                              | 341%                 |
| Brokerage Commission     | 6,095                              | 1,545                              | 294%                 |
| less Commission paid     | 630                                | 94                                 | 574%                 |
| Net Brokerage Commission | 5,465                              | 1,477                              | 270%                 |
| Other Income             | 1,463                              | 88                                 | 1569%                |
| Operating Expenses       | 5,466                              | 1,160                              | 371%                 |
| Profit Before Tax        | 4,339                              | 494                                | 778%                 |
| Taxation                 | 844                                | 92                                 | 816%                 |
| Profit After Tax         | 3,496                              | 402                                | 769%                 |

### 7.3 Capitalisation

As at 31 December 2022, all insurance brokers reported capital positions above the minimum threshold of ZW\$1.5 million stipulated in terms of Statutory Instrument 59 of 2020. Table 15 below shows capital positions of all the insurance brokers for the period under review.

**Table 15: Capital Positions for insurance Brokers as at 31 December 2022**

| Name          | 31- December-22<br>(ZW\$ million) | 31-December-21 (ZW\$<br>million) |
|---------------|-----------------------------------|----------------------------------|
| Amour Khan    | 80.07                             | 10.27                            |
| Bright        | 563.72                            | 77.84                            |
| Broksure      | 84.06                             | 3.80                             |
| Capitol       | 190.51                            | 61.70                            |
| Care          | 79.71                             | 1.58                             |
| CBZ Risk      | 470.57                            | 125.17                           |
| Coverlink     | 86.18                             | 10.82                            |
| Eaton & Young | 178.38                            | 56.17                            |
| Entwide       | 11.25                             | 10.11                            |
| Eureka        | 55.89                             | 18.12                            |
| First Sun     | 62.38                             | 28.64                            |
| Firstlink     | 562.18                            | 127.90                           |
| Glenrand MIB  | 245.46                            | 47.38                            |
| Goldstick     | 81.30                             | 3.54                             |
| HRIB          | 309.47                            | 76.67                            |
| Hunt Adams    | 377.46                            | 4.85                             |
| LA Guard      | 7.82                              | 30.95                            |
| Minerva Risk  | 986.93                            | 300.02                           |
| Momentum      | 197.28                            | 9.61                             |
| Perpro        | 35.39                             | 18.68                            |
| Progressive   | 54.48                             | 34.09                            |
| Rainbow       | 2.26                              | 1.31                             |
| SATIB         | 211.11                            | 26.29                            |
| TIB           | 18.67                             | 12.45                            |
| Victory       | 271.65                            | 61.07                            |
| WFDR          | 273.25                            | 26.61                            |
| ZIB           | 576.60                            | 94.52                            |

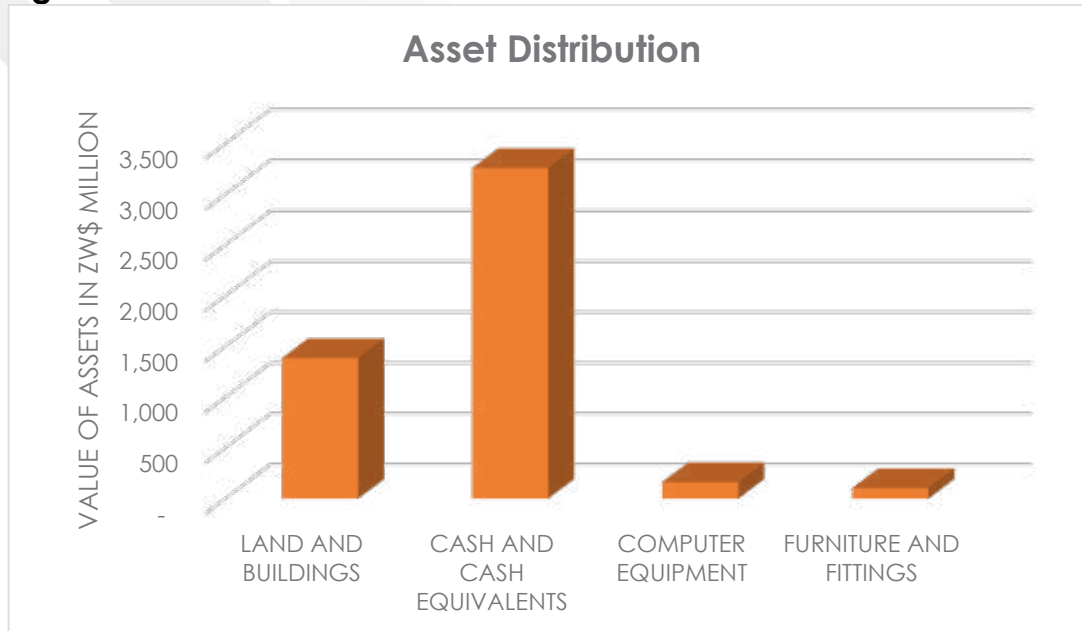
Key:

|  |                                                                                                                    |
|--|--------------------------------------------------------------------------------------------------------------------|
|  | The insurance broker reported a capital position that was above the minimum capital requirement of ZW\$1.5 million |
|  | The insurance broker reported a capital position that was below the minimum capital requirement of ZW\$1.5 million |

## 7.4 Assets Distribution

As at 31 December 2022, direct insurance brokers held total assets amounting to ZW\$4.9 billion. Most of these assets were held in cash and cash equivalents, as shown in the graph below.

**Figure 19: Asset Distribution for Insurance Brokers as at 31 December 2022.**



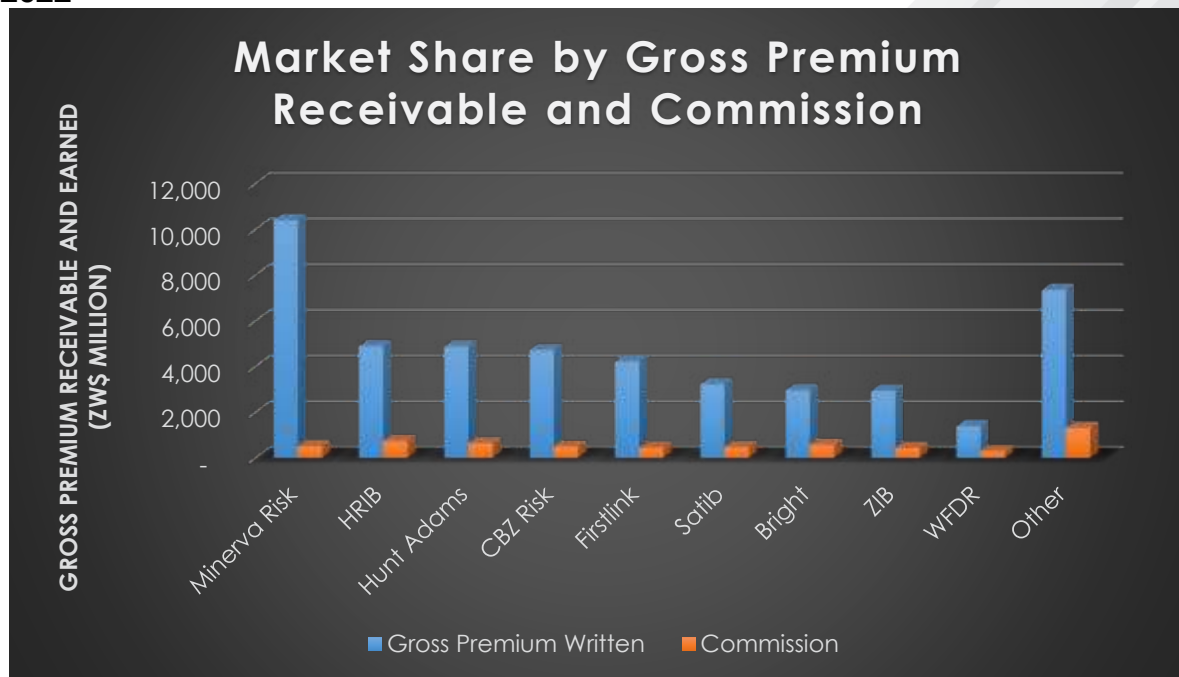
## 7.5 Earnings

For the period ended 31 December 2022, insurance brokers reported a combined profit after tax of ZW\$3.5 billion, representing a nominal increase of 769% from ZW\$402 million reported during the comparative period in 2021. The increase in profit after tax was attributable to an increase in brokerage commission.

## 7.6 Market Share for Insurance Brokers in terms of Gross Premium and Commission

7.6.1 Figure 20 below depicts the distribution of market share among insurance brokers for the year ending 31 December 2022. Minerva, HRIB, Hunt Adams, CBZ Risk Advisory and Firstlink dominated the market in terms of gross premium receivable during the period under review.

**Figure 20: Market Share for Insurance Brokers for the Year Ended 31 December 2022**

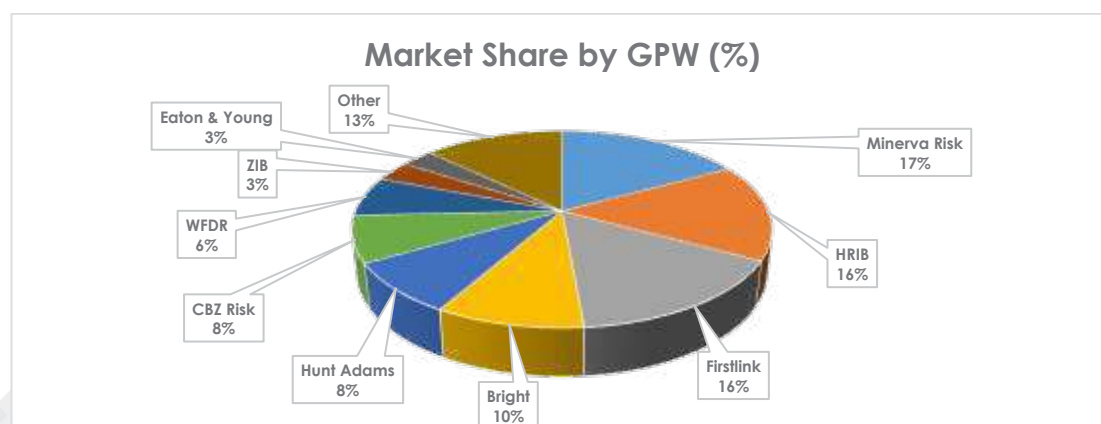


<sup>1</sup> Please note that the market share for Q3 2022 had an error as Glenrand MIB returns were overstated. The gross premium receivable by all direct brokers as at Q3 was ZW\$29.92 billion. Glenrand had reported ZW\$9.24 billion instead of ZW\$175.56 million.

#### 7.6.2 Foreign Currency Business by Insurance Brokers

Insurance brokers recorded a total of US\$66 million Gross Premium income in foreign currency denominated business for the period under review. The pie chart below shows the USD market share for insurance brokers for the period under review.

**Figure 21: Insurance Brokers USD-Denominated Market Share for the Fourth Quarter Ended 31 December 2022**



## 8. Reinsurance Brokers

### 8.1 Premium Written

For the year ended 31 December 2022, reinsurance brokers reported gross premium receivable of ZW\$39.5 billion, representing an increase of 159% from ZW\$15.3 billion recorded for the year ended 31 December 2021. Table 16 below displays key indicators of business receivable by reinsurance brokers.

**Table 16: Indicators of Reinsurance Brokers business for the Period Ended 31 December 2022.**

| Indicator                | 31-December-2021 (ZW\$ Million) | 31-December-2022 (ZW\$ Million) | Percentage change |
|--------------------------|---------------------------------|---------------------------------|-------------------|
| Gross Premium Receivable | 15,284                          | 39,503                          | 158%              |
| Gross Premium Payable    | 14,676                          | 38,186                          | 160%              |
| Brokerage Commission     | 607                             | 1,317                           | 117%              |
| less Commission paid     | 336                             | 29                              | -91%              |
| Net Brokerage Commission | 271                             | 1,288                           | 375%              |
| Other Income             | 38                              | 562                             | 1363%             |
| Operating Expenses       | 228                             | 884                             | 288%              |
| Profit Before Tax        | 107                             | 985                             | 821%              |
| Taxation                 | 22                              | 166                             | 663%              |
| Profit After Tax         | 85                              | 819                             | 862%              |

### 8.2 Capitalisation

As at 31 December 2022, all reinsurance brokers reported capital positions that exceeded the minimum capital requirement of ZW\$1.5 million as shown in Table 17 below.



**Table 17: Capitalisation levels of reinsurance brokers as at 31 December 2022.**

| Name of Reinsurance Broker        | 31 December 2022<br>(ZW\$ million) | 31 December 2021<br>(ZW\$ million) |
|-----------------------------------|------------------------------------|------------------------------------|
| Afro-Asian                        | 4.58                               | 14.83                              |
| Capitol                           | 27.26                              | 16.69                              |
| Classic                           | 45.01                              | 7.37                               |
| Marsh-Re                          | 393.80                             | 172.24                             |
| Minerva-Re                        | 1,144.32                           | 14.03                              |
| Pan African Re                    | 31.65                              | 23.85                              |
| Reinsurance Brokers International | 52.09                              | 15.97                              |
| Skybridge                         | 10.77                              | -                                  |

*\*In 2021 Skybridge had not yet started operating.*

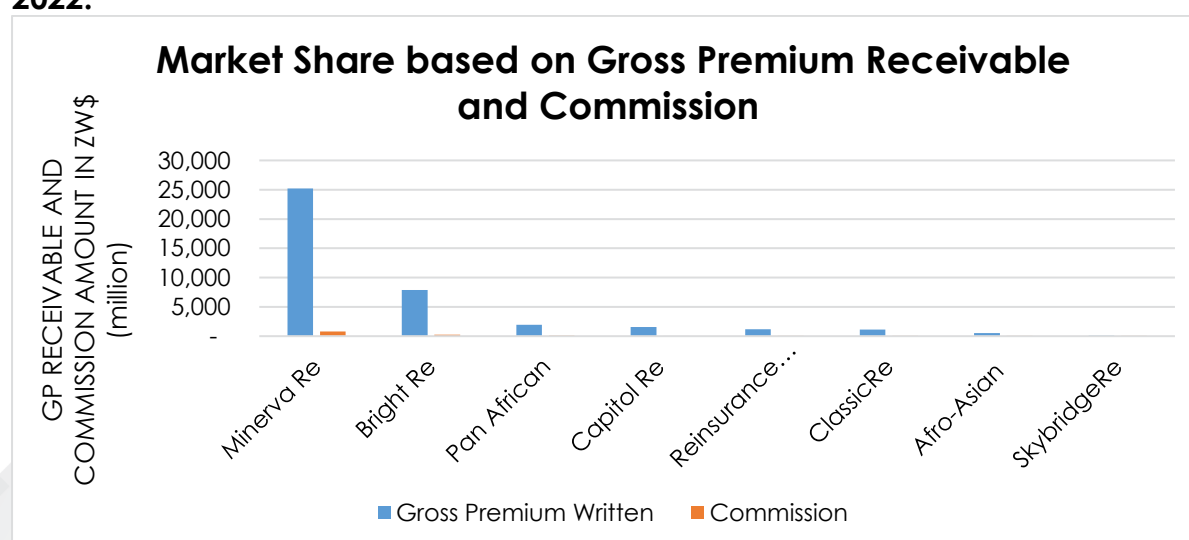
**Key:**

|  |                                                                                                                  |
|--|------------------------------------------------------------------------------------------------------------------|
|  | The reinsurance broker reported a capital position that was above minimum capital requirement of ZW\$1,5 million |
|  | Reinsurance Broker was not yet registered                                                                        |

### 8.3 Market Share for Reinsurance Brokers in Terms of Gross Premium Receivable and Brokerage Commission

8.3.1 In terms of Gross premium receivable, Minerva Reinsurance brokers had the largest market share during the period under review. Figure 22 below shows the reinsurance brokers' market share in terms of gross premium receivable and brokerage commission as at 31 December 2022.

**Figure 22: Market Share Distribution for Reinsurance Brokers at 31 December 2022.**

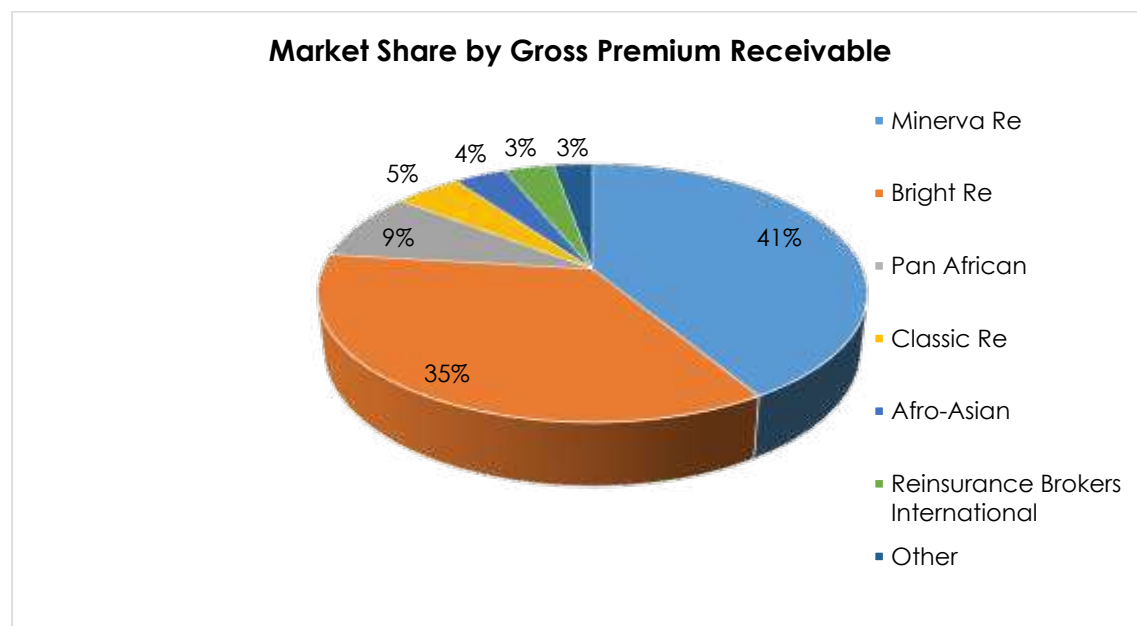




## 8.4 Foreign Currency Denominated Business

8.4.1 Reinsurance Brokers reported US\$35 million in gross premium receivable for the period ended 31 December 2022. The market leader in terms of foreign currency premiums was Minerva Re, followed by Bright Re. Figure 23 below shows USD premium received from the reinsurance brokered business.

**Figure 23: USD Gross Premium for Reinsurance Brokers for the Period Ended 31 December 2022.**



## SECTION I: COMPLAINTS HANDLING

### 9. Complaints Handling

#### 9.1 Short-term insurance

9.1.1 During the year under review, the Commission received 107 complaints against short term insurance companies. Delays in settlement of claims by short-term insurers was the major source of complaints, constituting 46.73% of the complaints, while unsatisfactory service, tobacco complaints and repudiations constituted 18.69%, 17.76% and 15.89% respectively.

**Table 18: Breakdown of Complaints by Nature**

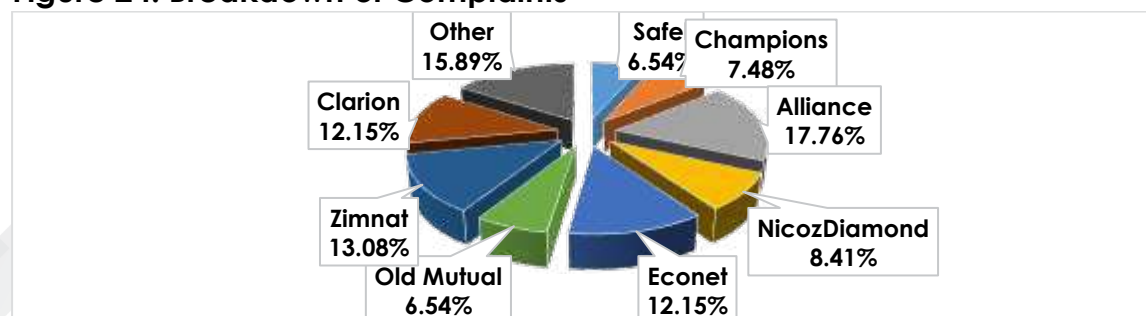
| Nature of complaint        | Number of complaints | Percentage of total |
|----------------------------|----------------------|---------------------|
| Delay in settlement        | 50                   | 46.73%              |
| Tobacco                    | 19                   | 17.76%              |
| Repudiation                | 17                   | 15.89%              |
| Low RTA claim payments     | 1                    | 0.93%               |
| Not satisfied with service | 20                   | 18.69%              |
| Total                      | 107                  | 100.00%             |

9.1.2 Insurers should settle claims within agreed timeframes as this will go a long way in reducing complaints from delays in settlement. Treating customers fairly is important and players should strive for fair treatment of their policyholders.

#### 9.2 Breakdown of Complaints by Player

9.2.1 For the short-term sector, 55.14% of complaints were against 4 players which are Alliance, Zimnat Lion, Clarion, and Econet Insurance with 17.76%, 13.08%, 12.15% and 12.15% respectively. The remaining 44.86% of complaints were against the remaining 16 players. Figure 24 below shows the breakdown of complaints by player.

**Figure 24: Breakdown of Complaints**



## SECTION J: REGULATORY DEVELOPMENTS

### 10. Regulatory Developments

#### 10.1 Circulars and Statutory Instruments

10.1.1 The Commission issued the following Statutory Instruments and Circulars to the Insurance Industry during the year of 2022 as shown in Table 19 below.

**Table 19: Statutory Instruments and Circulars issued in 2022**

| <b>Statutory Instrument (S.I.)</b> | <b>Date Gazetted</b> | <b>Purpose</b>                                                                                                                                          |
|------------------------------------|----------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>S.I. 45 of 2022</b>             | 18 March 2022        | Revision of fees payable to the Commission.                                                                                                             |
| <b>S.I. 46 of 2022</b>             | 18 March 2022        | Revision of levies payable to the Commission.                                                                                                           |
| <b>Circular</b>                    | <b>Date of Issue</b> | <b>Purpose</b>                                                                                                                                          |
| <b>Circular 3 of 2022</b>          | 7 February 2022      | 2022 Global Money Week Activities.                                                                                                                      |
| <b>Circular 4 of 2022</b>          | 3 February 2022      | International Financial Reporting Standard (IFRS) 17 Training.                                                                                          |
| <b>Circular 5 of 2022</b>          | 7 February 2022      | Zimbabwe Integrating Capital and Risk Programme (ZICARP) Pillar 1 31 December 2021 reporting.                                                           |
| <b>Circular 8 of 2022</b>          | 14 February 2022     | Financial Intelligence Unit Directive on revised thresholds for cash transaction reports, electronic funds transfer, and international funds transfers. |
| <b>Circular 9 of 2022</b>          | 15 February 2022     | Appointment of Beacon Actuarial Services to Develop Mortality tables for the Zimbabwean Insurance and Pensions industry.                                |
| <b>Circular 10 of 2022</b>         | 4 March 2022         | Guidance Paper implementation: Clarification on the roles of Fund Administrators, Actuaries, Accountants and Asset Managers.                            |
| <b>Circular 12 of 2022</b>         | 29 March 2022        | Registration requirements for Individual Agents.                                                                                                        |

|                            |               |                                                                                                                                                                                               |
|----------------------------|---------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Circular 13 of 2022</b> | 18 March 2022 | Notification of Publication of the Insurance and Pensions (Levy) Regulations, 2022 and Insurance (Amendment) Regulations, 2022.                                                               |
| <b>Circular 14 of 2022</b> | 29 March 2022 | Amendment to the Directive on Governance and Risk Management for Insurance Companies.                                                                                                         |
| <b>Circular 15 of 2022</b> | 24 March 2022 | Zimbabwe Integrating Capital and Risk Programme (ZICARP) Training Way Forward.                                                                                                                |
| <b>Circular 16 of 2022</b> | 23 March 2022 | Registration of Insurance and Pensions industry players on go AML.                                                                                                                            |
| <b>Circular 17 of 2022</b> | 28 March 2022 | Mortality Tables Development Project-Industry Workshop.                                                                                                                                       |
| <b>Circular 20 of 2022</b> | 03 May 2022   | Mortality Tables Development Project-Request for data.                                                                                                                                        |
| <b>Circular 21 of 2022</b> | 09 May 2022   | Call for inputs-Insurance and Pensions Industry response paper to policy measures to restore confidence, preserve value and restore macro-economic stability-President's speech (07 May 2022) |
| <b>Circular 22 of 2022</b> | 12 May 2022   | Presentation of Mock Own Risk and Solvency Assessment (ORSA) results.                                                                                                                         |
| <b>Circular 26 of 2022</b> | 15 June 2022  | Request for the Insurance and Pensions Industry's input into the 2022 mid-term national budget review.                                                                                        |
| <b>Circular 29 of 2022</b> | 15 July 2022  | Invitation to the industry engagement workshop on the pre-2009 loss of value (2009 Compensation) Regulations and Modalities.                                                                  |
| <b>Circular 31 of 2022</b> | 25 July 2022  | Request for Industry Comments on Draft Pre-2009 Compensation Regulations.                                                                                                                     |

|                            |                   |                                                                                                                                   |
|----------------------------|-------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| <b>Circular 35 of 2022</b> |                   | Sponsorship Request for the Inaugural Insurance and Pension Industry Awards.                                                      |
| <b>Circular 37 of 2022</b> | 25 August 2022    | Guidance Paper implementation: Waiving of Peer Review Requirements and June Valuations.                                           |
| <b>Circular 38 of 2022</b> | 14 September 2022 | Request for Insurance and Pensions Industry's Inputs into 2023 National Budget.                                                   |
| <b>Circular 39 of 2022</b> | 19 September 2022 | Gold Coin Investment by the Insurance and Pensions Industry.                                                                      |
| <b>Circular 42 of 2022</b> | 12 October 2022   | Review of Minimum Capital Requirements (MCR) for the Insurance Industry.                                                          |
| <b>Circular 44 of 2022</b> | 24 October 2022   | Nairobi Declaration on Sustainable Insurance.                                                                                     |
| <b>Circular 45 of 2022</b> | 25 October 2022   | Review of guidelines on insurance products for Life, Funeral Assurance and Non-Life Insurance Companies.                          |
| <b>Circular 46 of 2022</b> | 06 December 2022  | Early Adoption of the IFRS Sustainability Disclosure Standards Issued by the International Sustainability Standards Board (ISSB). |

## 10.2 IFRS 17

10.2.1 The Commission implores the short-term players to implement the IFRS 17 Standard which is effective from 1 January 2023.

10.2.2 Players should take the IFRS 17 Standard seriously and deploy the required resources to ensure that their financial statements are compliant starting from the first reporting date.



## 11. APPENDICES

### Appendix 1A

#### Statement of Comprehensive Income for Short-term Insurers for the year ended 31 December 2022

|                                 | Alliance             | Allied               | AFC                  | CBI                    | Cell                 | Champions            | Clarion              | Credsure             | Econet                 | Evolution          | ECGC                 | FBC                    | Hamilton             | Nicoz Diamond          | Old Mutual             | Quality            | Safel              | Sanctuary          | Empaya             | Zinnal Lion          | Total                  |
|---------------------------------|----------------------|----------------------|----------------------|------------------------|----------------------|----------------------|----------------------|----------------------|------------------------|--------------------|----------------------|------------------------|----------------------|------------------------|------------------------|--------------------|--------------------|--------------------|--------------------|----------------------|------------------------|
| Gross Premium Written           | 13,494,192,084       | 495,732,541          | 298,712,160          | 3,110,351,334          | 13,380,331,034       | 5,253,274,060        | 4,058,044,499        | 853,058,497          | 4,709,995,820          | 470,418,144        | 1,957,453,924        | 4,372,981,372          | 1,993,244,473        | 15,407,664,952         | 14,018,407,176         | 928,202,837        | 223,517,083        | 1,058,356,920      | 335,533,609        | 17,449,050,357       | 103,868,522,875        |
| Reinsurance Premium             | 9,875,946,810        | 157,697,477          | 291,382,284          | 1,737,169,101          | 11,714,851,762       | 779,904,144          | 101,665,695          | 436,338,676          | 1,095,866,432          | 338,817,815        | 817,430,365          | 1,584,376,716          | 12,363,446           | 8,909,454,016          | 6,382,206,922          | 106,243,319        | 484,692            | 402,025,993        | 6,263,111          | 12,179,591,484       | 56,930,080,261         |
| <b>Net Premium Written</b>      | <b>3,618,245,274</b> | <b>338,035,064</b>   | <b>7,329,876</b>     | <b>1,373,182,233</b>   | <b>1,665,479,272</b> | <b>4,473,369,916</b> | <b>3,956,378,804</b> | <b>416,719,821</b>   | <b>3,614,129,388</b>   | <b>131,600,330</b> | <b>1,140,023,559</b> | <b>2,788,604,655</b>   | <b>1,980,881,027</b> | <b>6,498,210,936</b>   | <b>7,636,200,253</b>   | <b>821,959,519</b> | <b>223,032,391</b> | <b>656,330,926</b> | <b>329,270,497</b> | <b>5,269,458,872</b> | <b>46,938,442,614</b>  |
| Increase/(Decrease) in UPR      | 112,533,514          | 87,507,114           | 1,332,802            | 369,777,012            | 343,855,641          | 1,306,719,346        | 626,872,272          | 33,420,075           | 1,115,605,167          | 8,455,029          | 454,092,918          | 557,122,778            | 347,271,728          | 1,392,591,434          | 632,455,072            | 118,361,533        | 35,622,519         | 104,879,833        | 19,892,140         | 640,698,349          | 8,309,066,276          |
| <b>Net Earned Premium</b>       | <b>3,505,711,760</b> | <b>250,527,950</b>   | <b>5,997,074</b>     | <b>1,003,405,222</b>   | <b>1,321,623,631</b> | <b>3,166,650,570</b> | <b>3,329,506,532</b> | <b>383,299,746</b>   | <b>2,498,524,221</b>   | <b>123,145,301</b> | <b>685,930,641</b>   | <b>2,231,481,878</b>   | <b>1,633,609,299</b> | <b>5,105,619,501</b>   | <b>7,003,745,182</b>   | <b>703,597,986</b> | <b>187,409,872</b> | <b>551,451,093</b> | <b>309,378,357</b> | <b>4,628,760,523</b> | <b>38,629,376,338</b>  |
| Net Incurred Claims             | 1,607,205,870        | 171,588,285          | -                    | 739,104,703            | 869,019,668          | 636,803,487          | 349,056,117          | 113,840,393          | 583,745,365            | 37,972,875         | 155,419,318          | 1,253,077,279          | 131,970,308          | 2,425,071,679          | 4,540,852,441          | 96,919,020         | 3,482,716          | 105,650,931        | 7,548,619          | 1,777,247,812        | 15,605,576,887         |
| Net Commission Incurred         | (211,154,673)        | 42,933,671           | (31,570,918)         | 69,826,855             | (1,027,320,724)      | 338,471,117          | 1,323,846,885        | (34,000,233)         | 274,293,285            | 6,926,127          | (85,473,671)         | 270,907,583            | 125,822,672          | 741,510,193            | 1,551,783,591          | (4,517,331)        | 23,338,065         | (52,042,537)       | 36,154,910         | (339,866,609)        | 3,019,868,257          |
| <b>Technical Result</b>         | <b>2,109,660,563</b> | <b>36,005,993</b>    | <b>37,567,992</b>    | <b>194,473,664</b>     | <b>1,479,924,687</b> | <b>2,191,375,966</b> | <b>1,656,603,529</b> | <b>303,459,586</b>   | <b>1,640,485,571</b>   | <b>78,246,299</b>  | <b>615,984,994</b>   | <b>707,497,016</b>     | <b>1,375,816,319</b> | <b>1,939,037,630</b>   | <b>911,109,149</b>     | <b>611,196,297</b> | <b>160,589,091</b> | <b>497,842,699</b> | <b>265,674,829</b> | <b>3,191,379,319</b> | <b>20,003,931,193</b>  |
| Operating Expenses              | 1,721,306,298        | 274,602,707          | 236,961,205          | 2,070,071,629          | 1,388,084,765        | 1,910,823,669        | 1,517,799,401        | 480,043,740          | 2,953,552,940          | 77,496,766         | 678,301,375          | 1,761,960,896          | 1,285,425,081        | 3,288,778,434          | 3,605,227,183          | 501,899,496        | 94,462,557         | 381,737,432        | 236,480,042        | 2,888,396,509        | 27,353,412,125         |
| <b>Underwriting Result</b>      | <b>388,354,264</b>   | <b>(238,596,714)</b> | <b>(199,393,213)</b> | <b>(1,875,597,965)</b> | <b>91,839,922</b>    | <b>280,552,297</b>   | <b>138,804,128</b>   | <b>(176,584,154)</b> | <b>(1,313,067,369)</b> | <b>749,533</b>     | <b>(62,316,381)</b>  | <b>(1,054,463,879)</b> | <b>90,391,238</b>    | <b>(1,349,740,805)</b> | <b>(2,694,118,034)</b> | <b>109,296,801</b> | <b>66,126,534</b>  | <b>116,105,267</b> | <b>29,194,787</b>  | <b>302,982,810</b>   | <b>(7,349,480,932)</b> |
| Investment Income               | 58,271,673           | 3,958,053            | 1,946,445            | 100,449,836            | 23,793,421           | 9,667,974            | 56,893,161           | 64,576,232           | (7,348,180)            | -                  | 52,931,363           | 61,700,661             | 641,755              | 182,803,746            | 139,793,227            | 10,822,289         | 10,881,000         | -                  | 31,073             | 9,414,568            | 781,228,296            |
| Unrealised Gains/(Losses)       | (874,333,161)        | 1,564,006,235        | 3,649,015            | 1,206,836,772          | 1,891,257,120        | 42,873,364           | -                    | 97,105,536           | (1,938,272,547)        | 24,183,675         | 440,872,757          | 1,456,605,676          | 32,556,092           | 4,587,234,678          | 2,468,852,101          | 386,756,478        | -                  | -                  | 1,708,792          | 931,148,069          | 12,323,040,653         |
| Other Income/(Expenses)         | 2,818,884,835        | 67,735,230           | 2,086,546            | 26,271,517             | 297,004,878          | 121,331,383          | 19,938,708           | -                    | 15,115,393             | 6,108,179          | 51,535,007           | 142,214,673            | 29,912,534           | 610,176,490            | 5,236,741,164          | 31,033,906         | 100,824,769        | 48,537,159         | 8,087,012          | 364,647              | 9,633,904,031          |
| <b>Profit/(Loss) Before Tax</b> | <b>2,391,177,611</b> | <b>1,397,102,805</b> | <b>(191,711,207)</b> | <b>(542,039,840)</b>   | <b>2,303,895,340</b> | <b>454,425,018</b>   | <b>215,635,997</b>   | <b>(14,902,387)</b>  | <b>(3,243,572,703)</b> | <b>31,041,388</b>  | <b>483,022,746</b>   | <b>606,057,131</b>     | <b>153,501,619</b>   | <b>4,030,474,109</b>   | <b>5,151,268,458</b>   | <b>537,909,474</b> | <b>177,832,302</b> | <b>164,642,426</b> | <b>39,021,664</b>  | <b>1,243,910,094</b> | <b>15,388,692,048</b>  |
| Taxation                        | 89,771,774           | 2,693,312            | (45,623,288)         | 43,714,049             | 576,213,888          | 239,887,429          | 52,731,312           | (3,683,870)          | (623,174,229)          | -                  | 3,899,840            | 139,062,751            | 23,025,243           | 1,003,612,891          | (10,411,828)           | 579,658            | -                  | -                  | 5,053,899          | -                    | 1,497,352,831          |
| <b>Profit/(Loss) After Tax</b>  | <b>2,301,405,837</b> | <b>1,394,409,494</b> | <b>(146,087,919)</b> | <b>(585,753,889)</b>   | <b>1,727,681,452</b> | <b>214,537,589</b>   | <b>162,904,685</b>   | <b>(11,218,517)</b>  | <b>(2,620,398,474)</b> | <b>31,041,388</b>  | <b>479,122,906</b>   | <b>466,994,381</b>     | <b>130,476,376</b>   | <b>3,026,861,218</b>   | <b>5,161,680,287</b>   | <b>537,329,816</b> | <b>177,832,302</b> | <b>164,642,426</b> | <b>33,967,765</b>  | <b>1,243,910,094</b> | <b>13,891,339,217</b>  |
| Dividends                       | -                    | -                    | -                    | -                      | -                    | -                    | -                    | -                    | -                      | -                  | -                    | -                      | -                    | 262,580,000            | (960,000,000)          | 76,740,965         | -                  | -                  | -                  | (620,679,035)        | -                      |
| <b>Retained Income</b>          | <b>2,301,405,837</b> | <b>1,394,409,494</b> | <b>(146,087,919)</b> | <b>(585,753,889)</b>   | <b>1,727,681,452</b> | <b>214,537,589</b>   | <b>162,904,685</b>   | <b>(11,218,517)</b>  | <b>(2,620,398,474)</b> | <b>31,041,388</b>  | <b>479,122,906</b>   | <b>466,994,381</b>     | <b>130,476,376</b>   | <b>2,764,281,218</b>   | <b>6,121,680,287</b>   | <b>460,588,851</b> | <b>177,832,302</b> | <b>164,642,426</b> | <b>33,967,765</b>  | <b>1,243,910,094</b> | <b>14,512,018,252</b>  |





## Appendix 1B

### Statement of Financial Position for Short Term Insurers for the year ended 31 December 2022

|                                         | Alliance      | Allied        | AFC            | CBZ           | Cell          | Champions     | Clarion       | Credsure      | Econet          | Evolution   | ECGC          | FBC           | Hamilton      | Nicoz Diamond  | Old Mutual     | Quality     | Safel         | Sanctuary   | Empaya      | Zimna Lion     | Total           |
|-----------------------------------------|---------------|---------------|----------------|---------------|---------------|---------------|---------------|---------------|-----------------|-------------|---------------|---------------|---------------|----------------|----------------|-------------|---------------|-------------|-------------|----------------|-----------------|
| <b>ASSETS</b>                           |               |               |                |               |               |               |               |               |                 |             |               |               |               |                |                |             |               |             |             |                |                 |
| <b>Non-Current Assets</b>               |               |               |                |               |               |               |               |               |                 |             |               |               |               |                |                |             |               |             |             |                |                 |
| Fixed Assets                            | 1 225 898 901 | 1 668 653 233 | 13 507 988 092 | 1 641 814 753 | 2 013 584 716 | 1 444 551 116 | 1 781 764 258 | 1 350 405 459 | 96 851 499      | 351 251 421 | 964 394 400   | 1 932 915 234 | 19 330 093    | 3 880 113 011  | 467 482 099    | 307 656 616 | 1 083 790 290 | 61 270 814  | 9 490 815   | 579 336 971    | 34 388 543 791  |
| Equities                                | 2 382 518     | -             | 1 831 370      | 77 805 845    | 607 872 749   | 98 921 133    | 1 999         | 58 099 305    | 1 100 821 753   | 341 846 831 | 103 791 573   | 799 254 936   | 65 482 843    | 602 571 632    | 3 972 384 342  | 444 809 558 | -             | -           | -           | 821 200 680    | 9 099 079 687   |
| Investments In Associated Companies     | -             | -             | -              | -             | 477 235 639   | -             | 160 000       | -             | -               | -           | -             | -             | 372 934 423   | 82 448 951     | -              | -           | -             | 200 053 204 | -           | -              | 1 132 832 216   |
| Long Term Prescribed Assets             | -             | -             | -              | -             | -             | -             | -             | -             | -               | -           | -             | -             | -             | -              | -              | -           | -             | -           | -           | -              | -               |
| Other Non-Current Assets                | 25 500 000    | -             | 7 554 038      | 2 527 448     | -             | -             | 500 746 496   | 737 622       | 48 732          | 616 633     | 171 460 800   | 23 507        | -             | 12 370 981     | -              | 3 995       | -             | -           | 516 000     | 87 976 255     | 810 082 507     |
|                                         | 1 253 781 420 | 1 668 653 233 | 13 517 373 500 | 1 722 148 046 | 3 098 693 104 | 1 543 472 249 | 2 282 672 753 | 1 409 242 386 | 1 197 721 984   | 693 714 884 | 1 239 646 773 | 2 732 193 677 | 457 747 358   | 4 577 504 575  | 4 439 866 441  | 752 470 168 | 1 083 790 290 | 261 324 018 | 10 006 815  | 1 488 513 906  | 45 430 537 582  |
| <b>Technical Assets</b>                 |               |               |                |               |               |               |               |               |                 |             |               |               |               |                |                |             |               |             |             |                |                 |
| Reinsurers' Share of Outstanding Claims | -             | 2 829 227     | 43 870 454     | -             | -             | -             | 76 295 693    | -             | -               | -           | 191 191 088   | 142 495 831   | 56 500 715    | -              | 2 820 894 379  | 810 694     | 34 059 638    | 3 707 840   | -           | 737 064 113    | 4 109 719 672   |
| Deferred Acquisition Cost               | 61 100 370    | 14 965 990    | -              | 34 888 509    | (62 100 761)  | 295 843 984   | 142 902 706   | 8 670 591     | 374 304 666     | 1 966 345   | -             | 72 180 050    | 51 571 929    | 333 035 820    | (155 017 108)  | 50 330 181  | 2 134 660     | 8 394 647   | -           | (13 090 903)   | 1 222 081 675   |
|                                         | 61 100 370    | 17 795 217    | 43 870 454     | 34 888 509    | (62 100 761)  | 295 843 984   | 219 198 400   | 8 670 591     | 374 304 666     | 1 966 345   | 191 191 088   | 214 675 881   | 108 072 644   | 333 035 820    | 2 665 877 272  | 51 140 874  | 36 194 298    | 12 102 487  | -           | 723 973 210    | 5 331 801 348   |
| <b>Current Assets</b>                   |               |               |                |               |               |               |               |               |                 |             |               |               |               |                |                |             |               |             |             |                |                 |
| Cash & cash equivalents                 | 1 464 263 441 | 94 191 914    | 9 917 770      | (852 789 004) | 65 667 107    | 104 781 680   | 57 594 439    | 5 079 363     | 366 816 563     | -           | 500 572 735   | 619 573 926   | 241 351 040   | 681 579 953    | 1 026 235 706  | 91 497 254  | 355 114 994   | 134 066 125 | 74 758 266  | 585 111 351    | 5 625 384 621   |
| Money Market Investments                | 4 110 109 403 | -             | 3 446 421      | -             | -             | -             | -             | 19 834 264    | 140 279 075     | -           | 41 878 824    | -             | -             | 985 807 034    | 28 041 537     | -           | -             | -           | -           | 1 199 309 719  | 6 528 706 278   |
| Current Prescribed Assets               | 429 022 112   | 51 325 043    | -              | 285 236 749   | 695 738 455   | 123 191 633   | 77 679 703    | 55 331 933    | 162 158 912     | 123 623 426 | 159 160 598   | 502 981 639   | 147 989 161   | 853 809 806    | 1 090 867 614  | 27 759 198  | 53 258 125    | 51 324 750  | 15 498 026  | 184 522 766    | 5 090 479 649   |
| Premiums Receivable                     | 1 066 255 159 | 98 282 053    | 67 632 860     | 946 099 251   | 3 276 983 231 | 2 049 431 745 | 81 530 999    | 268 683 152   | 2 089 872 717   | 8 090 422   | 871 815 602   | 1 820 436 525 | 145 898 192   | 2 028 028 138  | 2 026 857 953  | 48 997 976  | 10 967 639    | 233 205 943 | 15 255 736  | 6 504 490 189  | 23 658 815 483  |
| Other Current Assets                    | 993 778 457   | 178 447 852   | 59 689 983     | 20 378 415    | 264 357 404   | 52 083 512    | 64 288 172    | 30 082 019    | 1 525 928 471   | 33 593 094  | 107 918 547   | 864 838 297   | 68 263 598    | 1 132 061 243  | 5 261 003 402  | 24 498 011  | 12 000 000    | 249 594 709 | 15 851 988  | 3 146 497 254  | 14 105 154 428  |
|                                         | 8 063 428 573 | 422 246 862   | 140 687 034    | 398 925 411   | 4 302 746 197 | 2 329 488 570 | 281 093 313   | 379 010 732   | 4 285 055 738   | 165 306 942 | 1 681 346 305 | 3 807 830 387 | 603 501 991   | 5 681 286 174  | 9 433 006 213  | 192 752 439 | 431 340 758   | 668 191 527 | 121 364 016 | 11 619 931 278 | 55 008 540 459  |
| <b>TOTAL ASSETS</b>                     | 9 378 310 362 | 2 108 695 312 | 13 701 930 988 | 2 155 961 966 | 7 339 338 540 | 4 168 804 803 | 2 782 964 466 | 1 796 923 709 | 5 857 082 387   | 860 988 171 | 3 112 184 166 | 6 754 699 945 | 1 169 321 993 | 10 591 826 569 | 16 538 749 926 | 996 363 482 | 1 551 325 346 | 941 618 032 | 131 370 831 | 13 832 418 395 | 105 770 879 390 |
|                                         |               |               |                |               |               |               |               |               |                 |             |               | 6 540 024 063 |               |                |                |             |               |             |             |                |                 |
| <b>LIABILITIES</b>                      |               |               |                |               |               |               |               |               |                 |             |               |               |               |                |                |             |               |             |             |                |                 |
| Deferred Tax Liabilities                | 152 381 369   | 43 979 589    | -              | 188 193 992   | -             | 466 170       | 163 030       | 39 644 341    | (694 022 301)   | 79 778 109  | 4 704 865     | 680 271 491   | -             | 596 272 903    | (157 177 975)  | 37 976 710  | -             | 469 793     | -           | 88 925 308     | 1 062 027 394   |
| Long Term loan                          | -             | -             | -              | -             | -             | 29 537 592    | -             | -             | -               | -           | -             | -             | -             | -              | -              | -           | -             | -           | -           | 61 221 879     | 90 759 471      |
| Current Tax provisions                  | -             | 8 468 421     | 11 866 855     | -             | 567 864 283   | 31 513 125    | 36 507 753    | 2 233 152     | 150 094 080     | 8 415 779   | -             | 65 106 796    | 1 703 842     | 100 756 583    | 158 597 218    | 2 161 847   | -             | -           | -           | 41 079 500     | 1 186 369 235   |
| Gross Outstanding Claims                | 251 467 657   | 53 562 230    | 43 870 454     | 139 010 578   | 38 785 965    | 89 011 283    | 111 512 062   | 33 216 122    | -               | 10 869 114  | 191 191 088   | 207 997 039   | 145 169 393   | 452 070 390    | 4 805 796 528  | 3 094 869   | 43 796 027    | 11 018 693  | 920 702     | 845 414 673    | 7 477 774 868   |
| IBNR                                    | 546 827 574   | 3 621 120     | -              | 64 806 468    | 1 514 181     | 364 701 541   | 197 818 940   | 21 183 250    | 104 061 913     | 34 152 606  | 67 803 600    | 139 430 233   | 99 361 905    | 425 264 080    | 534 534 018    | 41 097 976  | 9 435 669     | 48 297 837  | -           | 555 242 502    | 3 259 155 414   |
| UPR                                     | 305 501 163   | 104 781 835   | 1 332 802      | 475 440 945   | 438 043 150   | 1 369 112 415 | 791 275 761   | 47 064 855    | 1 804 288 100   | 61 349 362  | 454 092 918   | 631 453 994   | 354 659 667   | 1 665 179 118  | 309 552 376    | 146 921 874 | 78 315 710    | 133 462 347 | 20 014 308  | 963 881 764    | 10 155 724 464  |
| Reinsurance Creditors                   | 1 705 620 457 | 116 504 878   | 172 875 603    | 414 568 691   | 3 936 745 148 | -             | -             | 244 653 112   | 1 141 050 878   | 68 754 387  | 579 474 699   | 1 906 862 648 | 36 870 392    | 2 376 153 788  | 657 513 340    | 371 191     | 7 029 125     | 329 499 759 | -           | 4 399 196 249  | 18 093 744 343  |
| Other Liabilities                       | 1 716 959 836 | 133 697 715   | 15 923 632     | 303 833 417   | 2 395 639     | 658 475 492   | 31 034 367    | 99 007 719    | 973 720 843     | 122 607 983 | 30 984 653    | 1 058 785 319 | 26 668 390    | 1 277 584 631  | 1 338 346 245  | 24 051 257  | -             | -           | 13 351 708  | 2 506 669 930  | 10 334 098 777  |
| <b>TOTAL LIABILITIES</b>                | 4 678 758 056 | 464 615 789   | 245 869 346    | 1 585 854 091 | 4 985 348 366 | 2 542 817 618 | 1 168 311 913 | 487 002 550   | 3 479 193 514   | 385 927 340 | 1 328 251 822 | 4 689 907 520 | 664 433 589   | 6 893 281 493  | 7 647 161 751  | 255 675 724 | 138 576 532   | 522 748 428 | 34 286 718  | 9 461 631 806  | 51 659 653 967  |
| <b>SHAREHOLDERS' EQUITY</b>             |               |               |                |               |               |               |               |               |                 |             |               |               |               |                |                |             |               |             |             |                |                 |
| Share Capital                           | 300 986       | 30 350        | 13 612 103 447 | 78 200        | 11 583        | 381 501       | 1 494 922     | 24 646        | 100             | 15          | 1 500 000     | 1 000         | 500 000       | 28 642 969     | 300 000        | 230 000     | 4 249 497     | 18 621 142  | 38 845 000  | 2 500 000      | 13 709 815 358  |
| Share Premium                           | -             | 1 090 179     | -              | 23 179 007    | 3 912 544     | -             | -             | 4 924 287     | 4 718 122 302   | 2 349 985   | 112 598 633   | 2 799 500     | 1 500 000     | 4 962 056      | -              | 602 500     | -             | 2 152 434   | -           | 52 509         | 4 878 245 936   |
| Revaluation & Other Reserves            | 1 066 695 297 | 21 516 759    | -              | 1 029 158 771 | -             | 1 411 068 096 | 1 331 454 735 | 1 330 280 188 | 203 349 239     | 7 338       | 1 190 710 803 | 1 477 974 682 | 292 875 276   | -              | 2 614 990      | 162 032 402 | 920 275 536   | 35 545 000  | -           | 524 095 394    | 10 999 654 505  |
| Retained Profit                         | 3 632 556 023 | 1 621 442 235 | (156 041 804)  | (482 308 104) | 2 350 066 047 | 214 537 589   | 281 702 896   | (25 307 962)  | (2 543 582 768) | 472 703 495 | 479 122 906   | 584 017 243   | 210 013 127   | 3 664 940 052  | 8 888 673 185  | 577 822 856 | 488 223 782   | 362 551 027 | 58 239 113  | 3 844 138 687  | 24 523 509 624  |
| <b>Shareholders' Equity</b>             | 4 699 552 306 | 1 644 079 523 | 13 456 061 642 | 570 107 874   | 2 353 990 174 | 1 625 987 185 | 1 614 652 553 | 1 309 921 159 | 2 377 888 873   | 475 060 832 | 1 783 932 343 | 2 064 792 425 | 504 888 403   | 3 698 545 076  | 8 891 588 175  | 740 687 758 | 1 412 748 815 | 418 869 603 | 97 084 113  | 4 370 786 590  | 54 111 225 424  |
| <b>TOTAL EQUITY &amp; LIABILITIES</b>   | 9 378 310 362 | 2 108 695 312 | 13 701 930 988 | 2 155 961 966 | 7 339 338 540 | 4 168 804 803 | 2 782 964 466 | 1 796 923 709 | 5 857 082 387   | 860 988 171 | 3 112 184 165 | 6 754 699 945 | 1 169 321 993 | 10 591 826 569 | 16 538 749 926 | 996 363 482 | 1 551 325 346 | 941 618 032 | 131 370 831 | 13 832 418 396 | 105 770 879 390 |

## Appendix 1C

### Key Performance Indicators (KPIs) for Short-Term Insurers for the year ended 31 December 2022

|                                               | Alliance  | Allied    | AFC         | CBZ       | Cell      | Champions | Clarion   | Credsure  | Econet      | Evolution | ECGC      | F&C       | Hamilton  | Nicoz Diamond | Old Mutual | Quality | Safel     | Sanctuary | Empaya   | Zimna Lion | Total/<br>Average  |
|-----------------------------------------------|-----------|-----------|-------------|-----------|-----------|-----------|-----------|-----------|-------------|-----------|-----------|-----------|-----------|---------------|------------|---------|-----------|-----------|----------|------------|--------------------|
| <b>Capital Adequacy</b>                       |           |           |             |           |           |           |           |           |             |           |           |           |           |               |            |         |           |           |          |            |                    |
| Capital Position (\$'000)                     | 4 699 552 | 1 644 080 | 13 456 062  | 570 108   | 2 353 990 | 1 625 987 | 1 614 653 | 1 309 921 | 2 377 889   | 475 061   | 1 783 932 | 2 064 792 | 504 888   | 3 698 545     | 8 891 588  | 740 688 | 1 412 749 | 418 870   | 97 084   | 4 370 787  | <b>2 847 959</b>   |
| Capital Maintenance Ratio (CMR)               | 519.54%   | 1945.45%  | 734313.24%  | 166.07%   | 565.36%   | 145.39%   | 163.25%   | 1257.36%  | 263.18%     | 1443.95%  | 625.93%   | 296.18%   | 101.95%   | 227.67%       | 465.76%    | 360.45% | 2533.71%  | 255.28%   | 117.94%  | 331.78%    | <b>461.13%</b>     |
| Equity/Total Assets Ratio                     | 50.11%    | 77.97%    | 98.21%      | 26.44%    | 32.07%    | 39.00%    | 58.02%    | 72.90%    | 40.40%      | 55.18%    | 57.32%    | 30.57%    | 43.18%    | 34.92%        | 53.76%     | 74.34%  | 91.07%    | 44.48%    | 73.90%   | 31.60%     | <b>51.16%</b>      |
| Solvency Margin                               | 129.88%   | 486.36%   | 183578.31%  | 41.52%    | 141.34%   | 36.35%    | 40.81%    | 314.34%   | 65.79%      | 360.99%   | 156.48%   | 74.04%    | 25.49%    | 56.92%        | 116.44%    | 90.11%  | 633.43%   | 63.82%    | 29.48%   | 82.95%     | <b>115.28%</b>     |
| <b>Asset Quality</b>                          |           |           |             |           |           |           |           |           |             |           |           |           |           |               |            |         |           |           |          |            |                    |
| Total Assets (\$'000)                         | 9 378 310 | 2 108 695 | 13 701 931  | 2 155 962 | 7 339 339 | 4 168 805 | 2 782 964 | 1 796 924 | 5 857 082   | 860 988   | 3 112 184 | 6 754 700 | 1 169 322 | 10 591 827    | 16 538 750 | 996 363 | 1 551 325 | 941 618   | 131 371  | 13 832 418 | <b>105 770 879</b> |
| Interest Generating Assets to Total Assets    | 64.04%    | 6.90%     | 0.11%       | -22.72%   | 18.66%    | 7.84%     | 4.86%     | 7.70%     | 30.22%      | 54.06%    | 25.88%    | 28.45%    | 38.90%    | 29.49%        | 36.99%     | 56.61%  | 26.32%    | 19.69%    | 68.70%   | 20.17%     | <b>24.91%</b>      |
| Non-Interest Generating Assets/Total Assets   | 35.96%    | 93.10%    | 99.89%      | 122.72%   | 74.84%    | 92.16%    | 95.13%    | 92.30%    | 69.78%      | 45.94%    | 74.12%    | 71.55%    | 29.21%    | 69.73%        | 63.01%     | 43.39%  | 73.68%    | 59.07%    | 31.30%   | 79.83%     | <b>74.02%</b>      |
| Fixed Assets/Total Assets                     | 13.07%    | 79.13%    | 98.58%      | 76.15%    | 27.44%    | 34.65%    | 64.02%    | 75.15%    | 1.65%       | 40.80%    | 30.99%    | 28.62%    | 1.65%     | 36.63%        | 2.83%      | 30.88%  | 69.86%    | 6.51%     | 7.22%    | 4.19%      | <b>32.51%</b>      |
| Prescribed Assets Ratio                       | 4.62%     | 2.45%     | 0.00%       | 13.46%    | 9.40%     | 3.18%     | 3.77%     | 3.10%     | 2.96%       | 1.40%     | 5.79%     | 7.69%     | 13.94%    | 8.33%         | 7.86%      | 2.94%   | 3.52%     | 5.52%     | 11.84%   | 1.42%      | <b>5.11%</b>       |
| Premium Debtors/Gross Premium                 | 7.90%     | 19.83%    | 22.64%      | 30.42%    | 24.49%    | 39.01%    | 2.01%     | 31.50%    | 44.37%      | 1.72%     | 44.54%    | 41.63%    | 7.32%     | 13.16%        | 14.46%     | 5.28%   | 4.91%     | 22.03%    | 4.55%    | 37.28%     | <b>22.78%</b>      |
| Premium Debtors/Total Assets                  | 11.37%    | 4.66%     | 0.49%       | 43.88%    | 44.65%    | 49.16%    | 2.93%     | 14.95%    | 35.68%      | 0.94%     | 28.01%    | 26.95%    | 12.48%    | 19.15%        | 12.26%     | 4.92%   | 0.71%     | 24.77%    | 11.61%   | 47.02%     | <b>22.37%</b>      |
| <b>Reinsurance</b>                            |           |           |             |           |           |           |           |           |             |           |           |           |           |               |            |         |           |           |          |            |                    |
| Risk Retention Ratio                          | 26.81%    | 68.19%    | 2.45%       | 44.15%    | 12.45%    | 85.15%    | 97.49%    | 48.85%    | 76.73%      | 27.98%    | 58.24%    | 63.77%    | 99.38%    | 42.18%        | 54.47%     | 88.55%  | 99.78%    | 62.01%    | 98.13%   | 30.20%     | <b>45.19%</b>      |
| Reinsurance Creditors/Reinsurance Premium     | 17.27%    | 73.88%    | 59.33%      | 23.86%    | 33.60%    | 0.00%     | 0.00%     | 56.07%    | 104.12%     | 20.29%    | 70.89%    | 120.35%   | 298.22%   | 26.67%        | 10.30%     | 0.35%   | 1450.23%  | 81.96%    | 0.00%    | 36.12%     | <b>31.78%</b>      |
| Reinsurers' Share of O/S Claims to O/S Claims | 0.00%     | 5.28%     | 100.00%     | 0.00%     | 0.00%     | 0.00%     | 68.42%    | 0.00%     | 0.00%       | 0.00%     | 100.00%   | 68.51%    | 38.92%    | 0.00%         | 58.70%     | 26.19%  | 77.77%    | 33.65%    | 0.00%    | 87.18%     | <b>54.96%</b>      |
| Reinsurers Debtors/Reinsurance Creditors      | 0.00%     | 2.43%     | 25.38%      | 0.00%     | 0.00%     | 0.00%     | 0.00%     | 0.00%     | 0.00%       | 0.00%     | 32.99%    | 7.47%     | 153.24%   | 0.00%         | 429.02%    | 218.40% | 484.55%   | 1.13%     | 0.00%    | 16.75%     | <b>22.71%</b>      |
| <b>Actuarial</b>                              |           |           |             |           |           |           |           |           |             |           |           |           |           |               |            |         |           |           |          |            |                    |
| UPR (\$'000)                                  | 305 501   | 104 782   | 1 333       | 475 441   | 438 043   | 1 369 112 | 791 276   | 47 065    | 1 804 288   | 61 349    | 454 093   | 631 454   | 354 660   | 1 665 179     | 309 552    | 146 922 | 78 316    | 133 462   | 20 014   | 963 882    | <b>10 155 724</b>  |
| IBNR (\$'000)                                 | 546 828   | 3 621     | -           | 64 806    | 1 514     | 364 702   | 197 819   | 21 183    | 104 062     | 34 153    | 67 804    | 139 430   | 99 362    | 425 264       | 534 534    | 41 098  | 9 436     | 48 298    | -        | 555 243    | <b>3 259 155</b>   |
| Net Outstanding Claims                        | 251 468   | 50 733    | -           | 139 011   | 38 784    | 89 011    | 35 216    | -         | 10 869      | -         | -         | 65 501    | 88 669    | 452 070       | 1 984 902  | 2 284   | 9 736     | 7 311     | 921      | 108 351    | <b>3 368 055</b>   |
| Liquid Assets/Total Reserves                  | 543.89%   | 91.44%    | 1002.71%    | -83.55%   | 159.18%   | 12.51%    | 13.21%    | 79.09%    | 35.07%      | 116.22%   | 134.44%   | 134.22%   | 71.74%    | 99.16%        | 75.83%     | 62.67%  | 418.90%   | 98.05%    | 431.13%  | 120.98%    | <b>102.75%</b>     |
| Liquid Assets/(Outstanding Claims+IBNR)       | 752.03%   | 267.72%   | #DIV/0!     | -278.46%  | 1889.34%  | 50.25%    | 58.05%    | 147.51%   | 643.13%     | 274.59%   | 1034.77%  | 547.77%   | 207.06%   | 287.37%       | 85.14%     | 274.90% | 2130.04%  | 333.38%   | 9802.99% | 296.71%    | <b>260.21%</b>     |
| Assets/Total Reserves                         | 849.64%   | 1325.09%  | 1028054.82% | 317.40%   | 1534.32%  | 228.70%   | 271.69%   | 1770.99%  | 306.92%     | 809.42%   | 596.32%   | 807.61%   | 215.47%   | 416.59%       | 584.62%    | 523.56% | 1591.30%  | 498.02%   | 627.52%  | 849.93%    | <b>630.23%</b>     |
| <b>Earnings</b>                               |           |           |             |           |           |           |           |           |             |           |           |           |           |               |            |         |           |           |          |            |                    |
| Profit After Tax (\$'000)                     | 2 301 406 | 1 394 409 | (146 088)   | (585 754) | 1 727 681 | 214 538   | 162 905   | (11 219)  | (2 620 398) | 31 041    | 479 123   | 466 994   | 130 476   | 3 026 861     | 5 161 680  | 537 330 | 177 832   | 164 642   | 33 968   | 1 243 910  | <b>13 891 339</b>  |
| Return on Equity                              | 97.84%    | 169.46%   | -2.17%      | -203.66%  | 146.53%   | 26.34%    | 20.16%    | -1.71%    | -219.79%    | 12.98%    | 53.62%    | 45.19%    | 50.47%    | 162.68%       | 116.08%    | 144.50% | 25.15%    | 78.32%    | 68.87%   | 56.81%     | <b>51.26%</b>      |
| Return on Assets                              | 48.91%    | 132.07%   | -2.13%      | -54.08%   | 47.03%    | 10.27%    | 11.69%    | -1.25%    | -89.30%     | 7.17%     | 30.75%    | 13.82%    | 21.80%    | 56.96%        | 62.41%     | 107.27% | 22.90%    | 34.85%    | 50.46%   | 17.97%     | <b>26.22%</b>      |
| Loss Ratio                                    | 45.85%    | 68.49%    | 0.00%       | 73.66%    | 65.75%    | 20.11%    | 10.48%    | 29.70%    | 23.36%      | 30.84%    | 22.66%    | 56.15%    | 8.08%     | 47.50%        | 64.83%     | 13.77%  | 1.86%     | 19.16%    | 2.44%    | 38.40%     | <b>40.40%</b>      |
| Net Commission Ratio                          | -5.84%    | 12.70%    | -430.72%    | 5.09%     | -61.68%   | 7.57%     | 33.46%    | -8.16%    | 7.59%       | 5.26%     | -7.50%    | 9.71%     | 6.35%     | 11.41%        | 20.32%     | -0.55%  | 10.46%    | -7.93%    | 10.98%   | -6.45%     | <b>6.43%</b>       |
| Net Expense Ratio                             | 47.57%    | 81.23%    | 3232.81%    | 150.75%   | 83.34%    | 42.72%    | 38.36%    | 115.20%   | 81.72%      | 58.89%    | 59.50%    | 63.18%    | 64.89%    | 50.61%        | 47.21%     | 61.06%  | 42.35%    | 58.16%    | 71.82%   | 54.81%     | <b>58.28%</b>      |
| Combined Ratio                                | 87.58%    | 162.43%   | 2802.10%    | 229.49%   | 87.42%    | 70.39%    | 82.31%    | 136.74%   | 112.68%     | 94.99%    | 74.66%    | 129.05%   | 79.32%    | 109.52%       | 132.37%    | 74.29%  | 54.68%    | 69.39%    | 85.24%   | 86.76%     | <b>105.11%</b>     |
| Underwriting Margin                           | 11.08%    | -95.24%   | -3324.84%   | -186.92%  | 6.95%     | 8.86%     | 4.17%     | -46.07%   | -52.55%     | 0.61%     | -9.08%    | -47.25%   | 5.53%     | -26.44%       | -38.47%    | 15.53%  | 35.28%    | 21.05%    | 9.44%    | 6.55%      | <b>-19.03%</b>     |
| Investment Income/NPW Ratio                   | -22.55%   | 463.85%   | 76.34%      | 95.20%    | 114.98%   | 1.17%     | 1.44%     | 38.80%    | -53.83%     | 18.38%    | 43.32%    | 54.45%    | 1.68%     | 73.41%        | 34.16%     | 48.37%  | 4.88%     | 0.00%     | 0.53%    | 17.85%     | <b>27.92%</b>      |
| Investment Income/Total Financial Assets      | -13.58%   | 1077.51%  | 32.86%      | -317.35%  | 96.86%    | 12.34%    | 42.06%    | 82.30%    | -67.77%     | 3.00%     | 54.31%    | 55.80%    | 6.38%     | 128.01%       | 25.85%     | 39.41%  | 2.66%     | 0.00%     | 1.93%    | 26.04%     | <b>36.97%</b>      |
| <b>Liquidity</b>                              |           |           |             |           |           |           |           |           |             |           |           |           |           |               |            |         |           |           |          |            |                    |
| Working Capital (\$'000)                      | 5 162 731 | 109 124   | (45 388)    | (848 207) | (742 307) | 770 528   | (636 986) | (314)     | 2 153 888   | (96 046)  | 575 270   | 391 384   | 73 809    | 398 625       | 5 790 068  | 12 269  | 328 959   | 157 546   | 100 429  | 5 450 164  | <b>19 105 546</b>  |
| Current ratio                                 | 173.65%   | 95.29%    | 91.37%      | 27.36%    | 85.06%    | 104.46%   | 45.81%    | 79.61%    | 133.92%     | 43.34%    | 164.68%   | 88.46%    | 117.05%   | 87.25%        | 250.69%    | 95.70%  | 447.33%   | 131.07%   | 353.97%  | 142.48%    | <b>127.14%</b>     |
| Acid Test ratio                               | 128.31%   | 31.51%    | 6.62%       | -35.79%   | 15.27%    | 9.07%     | 12.39%    | 16.48%    | 19.24%      | 32.03%    | 61.70%    | 24.69%    | 64.04%    | 36.57%        | 44.45%     | 46.79%  | 390.72%   | 35.72%    | 263.24%  | 22.73%     | <b>36.34%</b>      |
| <b>Market Shares</b>                          |           |           |             |           |           |           |           |           |             |           |           |           |           |               |            |         |           |           |          |            |                    |
| Market Share Based on GWP                     | 12.99%    | 0.48%     | 0.29%       | 2.99%     | 12.88%    | 5.06%     | 3.91%     | 0.82%     | 4.53%       | 0.45%     | 1.88%     | 4.21%     | 1.92%     | 14.83%        | 13.50%     | 0.89%   | 0.22%     | 1.02%     | 0.32%    | 16.80%     | <b>100%</b>        |
| Market Share Based on NWP                     | 7.71%     | 0.72%     | 0.02%       | 2.93%     | 3.55%     | 9.53%     | 8.43%     | 0.89%     | 7.70%       | 0.28%     | 2.43%     | 5.94%     | 4.22%     | 13.84%        | 16.27%     | 1.75%   | 0.48%     | 1.40%     | 0.70%    | 11.23%     | <b>100%</b>        |
| Market Share Based on Total Assets            | 8.87%     | 1.99%     | 12.95%      | 2.04%     | 6.94%     | 3.94%     | 2.63%     | 1.70%     | 5.54%       | 0.81%     | 2.94%     | 6.39%     | 1.11%     | 10.01%        | 15.64%     | 0.94%   | 1.47%     | 0.89%     | 0.12%    | 13.08%     | <b>100%</b>        |

## Appendix 2A

### Statement of Comprehensive Income for Short-Term Reinsurers for the year ended 31 December 2022

|                                 | Emeritus Re            | FBC Re                 | FM RE                | Grand Re             | Tropical Re          | WAICA Re             | ZB Re                | Muca Re            | Zep - Re             | Total                  |
|---------------------------------|------------------------|------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|--------------------|----------------------|------------------------|
| <b>Gross Premium Written</b>    | 6,098,469,599          | 4,318,280,291          | 6,087,973,403        | 8,038,854,655        | 7,068,727,717        | 10,026,564,996       | 9,008,797,118        | 1,300,780,855      | 8,066,446,637        | <b>60,014,895,271</b>  |
| Retrocession Premium            | 1,073,311,880          | 566,480,632            | 3,315,323,335        | 4,733,318,954        | 2,504,195,401        | 3,177,451,525        | 2,609,325,908        | 775,679,755        | 4,411,122,321        | <b>23,166,209,711</b>  |
| <b>Net Premium Written</b>      | <b>5,025,157,719</b>   | <b>3,751,799,659</b>   | <b>2,772,650,068</b> | <b>3,305,535,701</b> | <b>4,564,532,316</b> | <b>6,849,113,471</b> | <b>6,399,471,210</b> | <b>525,101,100</b> | <b>3,655,324,316</b> | <b>36,848,685,560</b>  |
| Increase/(Decrease) in UPR      | 1,462,528,177          | 1,282,024,036          | 553,724,072          | 487,215,567          | 572,459,822          | (1,439,930,843)      | 729,428,668          | 145,976,409        | (423,417,732)        | <b>3,370,008,176</b>   |
| <b>Net Earned Premium</b>       | <b>3,562,629,542</b>   | <b>2,469,775,623</b>   | <b>2,218,925,996</b> | <b>2,818,320,134</b> | <b>3,992,072,494</b> | <b>8,289,044,315</b> | <b>5,670,042,542</b> | <b>379,124,691</b> | <b>4,078,742,048</b> | <b>33,478,677,384</b>  |
| Net Incurred Claims             | 2,924,375,733          | 1,691,975,496          | 1,188,255,486        | 1,377,213,685        | 2,619,547,153        | 3,894,044,587        | 2,735,433,162        | 64,656,534         | 2,570,817,029        | <b>19,066,318,864</b>  |
| Net Commission Incurred         | 1,010,482,928          | 867,364,481            | 534,079,850          | 687,272,119          | 1,315,166,334        | 2,089,839,057        | 2,027,330,161        | 91,288,245         | 1,384,252,715        | <b>10,007,075,889</b>  |
| <b>Technical Result</b>         | <b>(372,229,118)</b>   | <b>(89,564,354)</b>    | <b>496,590,660</b>   | <b>753,834,330</b>   | <b>57,359,007</b>    | <b>2,305,160,671</b> | <b>907,279,219</b>   | <b>223,179,912</b> | <b>123,672,304</b>   | <b>4,405,282,631</b>   |
| Operating Expenses              | 1,114,199,697          | 2,423,494,186          | 1,055,413,285        | 1,124,146,666        | 808,962,967          | 1,022,555,945        | 1,710,621,619        | 170,751,646        | 635,476,503          | <b>10,065,622,515</b>  |
| <b>Underwriting Result</b>      | <b>(1,486,428,815)</b> | <b>(2,513,058,540)</b> | <b>(558,822,625)</b> | <b>(370,312,336)</b> | <b>(751,603,960)</b> | <b>1,282,604,726</b> | <b>(803,342,401)</b> | <b>52,428,266</b>  | <b>(511,804,199)</b> | <b>(5,660,339,885)</b> |
| Investment Income               | 192,811,768            | 28,124,260             | 40,535,641           | 15,534,832           | 56,500,900           | 94,971,761           | 53,761,126           | 24,694,721         | 277,826,318          | <b>784,761,326</b>     |
| Unrealised Gains/(Losses)       | 2,767,721,548          | 4,483,801,566          | 1,171,953,595        | 2,067,847,250        | 1,799,463,727        | (296,761,865)        | 5,219,768,619        | -                  | -                    | <b>17,213,794,442</b>  |
| Other Income/(Expenses)         | -                      | 8,457,049              | 34,246,195           | -                    | 347,237,033          | 18,895,204           | -                    | -                  | 267,092              | <b>409,102,574</b>     |
| <b>Profit/(Loss) Before Tax</b> | <b>1,474,104,501</b>   | <b>2,007,324,335</b>   | <b>687,912,806</b>   | <b>1,713,069,746</b> | <b>1,451,597,701</b> | <b>1,099,709,826</b> | <b>4,470,187,345</b> | <b>77,122,987</b>  | <b>(233,710,789)</b> | <b>12,747,318,457</b>  |
| Taxation                        | (1,002,902,044)        | 496,210,576            | (100,255,659)        | 411,136,739          | (993,005,620)        | 271,848,269          | 644,125,835          | -                  | -                    | <b>(272,841,905)</b>   |
| <b>Profit/(Loss) After Tax</b>  | <b>2,477,006,546</b>   | <b>1,511,113,759</b>   | <b>788,168,465</b>   | <b>1,301,933,007</b> | <b>2,444,603,321</b> | <b>827,861,557</b>   | <b>3,826,061,510</b> | <b>77,122,987</b>  | <b>(233,710,789)</b> | <b>13,020,160,362</b>  |
| Dividends                       | -                      | -                      | -                    | -                    | (62,732,255)         | -                    | -                    | -                  | -                    | <b>(62,732,255)</b>    |
| <b>Retained Income</b>          | <b>2,477,006,546</b>   | <b>1,511,113,759</b>   | <b>788,168,465</b>   | <b>1,301,933,007</b> | <b>2,507,335,575</b> | <b>827,861,557</b>   | <b>3,826,061,510</b> | <b>77,122,987</b>  | <b>(233,710,789)</b> | <b>13,082,892,616</b>  |

## Appendix 2B

### Statement of Financial Position for Short-Term Reinsurers for the year ended 31 December 2022

|                                                | Emeritus Re          | FBC Re               | FM RE                | Grand Re             | Tropical Re          | WAICA Re              | ZB Re                | Muca Re              | Zep - Re              | Total                 |
|------------------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|-----------------------|----------------------|----------------------|-----------------------|-----------------------|
| <b>ASSETS</b>                                  |                      |                      |                      |                      |                      |                       |                      |                      |                       |                       |
| <b>Non-Current Assets</b>                      |                      |                      |                      |                      |                      |                       |                      |                      |                       |                       |
| Fixed Assets                                   | 2,506,973,308.37     | 116,987,540.63       | 9,433,469.00         | 316,041,075.59       | 19,436,108.00        | 690,932,525.74        | 1,756,345,499.12     | 14,823,466.14        | 212,621,958.97        | <b>5,643,594,952</b>  |
| Equities                                       | 729,284,835.17       | 1,492,936,920.68     | 833,803,060.00       | 76,927,592.99        | 8,728,797.00         | 0.00                  | 932,751,076.58       | 0.00                 | 0.00                  | <b>4,074,432,282</b>  |
| Investments in Associated Companies            | 89,203,280.39        | 82,926,829.00        | 0.00                 | 0.00                 | 0.00                 | 32,938,125.13         | 0.00                 | 0.00                 | 0.00                  | <b>205,068,235</b>    |
| Long Term Prescribed Assets                    | 0.00                 | 0.00                 | 0.00                 | 0.00                 | 0.00                 | 0.00                  | 0.00                 | 0.00                 | 0.00                  | <b>-</b>              |
| Other Non-Current Assets                       | 0.00                 | 358,399.79           | 121,527,371.35       | 1,097,682,652.72     |                      | 6,468,287,920.56      |                      | 173,509,817.44       | 0.00                  | <b>7,861,366,162</b>  |
|                                                | <b>3,325,461,424</b> | <b>1,693,209,690</b> | <b>964,763,900</b>   | <b>1,490,651,321</b> | <b>28,164,905</b>    | <b>7,192,158,571</b>  | <b>2,689,096,576</b> | <b>188,333,284</b>   | <b>212,621,959</b>    | <b>17,784,461,630</b> |
| <b>Technical Assets</b>                        |                      |                      |                      |                      |                      |                       |                      |                      |                       |                       |
| Retrocessionaires' Share of Outstanding Claims | 0.00                 | 3,009,375.00         | 0.00                 | 794,949,877.10       | 220,817,136.00       | 157,952,957.15        | 0.00                 | 32,273,267.75        | 0.00                  | <b>1,209,002,613</b>  |
| Deferred Acquisition Cost                      | 637,308,303.66       | 511,134,658.00       | 211,744,103.84       | 238,655,593.75       | 126,126,556.00       | 628,317,855.28        | 0.00                 | 50,909,802.44        | 289,631,944.98        | <b>2,693,828,818</b>  |
|                                                | <b>637,308,304</b>   | <b>514,144,033</b>   | <b>211,744,104</b>   | <b>1,033,605,471</b> | <b>346,943,692</b>   | <b>786,270,812</b>    | <b>-</b>             | <b>83,183,070</b>    | <b>289,631,945</b>    | <b>3,902,831,431</b>  |
| <b>Current Assets</b>                          |                      |                      |                      |                      |                      |                       |                      |                      |                       |                       |
| Cash & cash equivalents                        | 420,861,197.26       | 3,143,986,154.32     | 906,069,211.00       | 1,129,173,415.66     | 1,942,970,872.00     | 44,109,068.72         | 2,983,511,754.66     | 13,668,720.36        | 1,215,460,967.97      | <b>11,799,811,362</b> |
| Money Market Investments                       | 382,515,781.01       | 0.00                 | 189,834,281.30       | 0.00                 | 1,513,886,875.00     | 0.00                  | 0.00                 | 993,913,554.02       | 0.00                  | <b>3,080,150,491</b>  |
| Current Prescribed Assets                      | 17,894,383.17        | 927,297,874.53       | 742,329,169.11       | 197,623,366.14       | 31,272,322.00        | 236,933,231.97        | 945,065,115.90       | 4,196,712.33         | 5,309,124,578.68      | <b>8,411,736,754</b>  |
| Premiums Receivable                            | 3,042,017,903.19     | 957,876,038.58       | 2,361,357,017.00     | 1,675,046,561.65     | 2,309,034,799.00     | 7,009,547,256.11      | 1,844,169,203.28     | 604,331,862.56       | 1,961,361,615.80      | <b>21,764,742,257</b> |
| Other Current Assets                           | 1,632,208,240.89     | 16,439,977.75        | 75,153,498.24        | 1,232,862,971.56     | 404,672,792.00       | 1,541,929,658.34      | 23,596,130.39        | 28,229,815.26        | 2,191,620,415.62      | <b>7,146,713,500</b>  |
|                                                | <b>5,495,497,506</b> | <b>5,045,600,045</b> | <b>4,274,743,177</b> | <b>4,234,706,315</b> | <b>6,201,837,660</b> | <b>8,832,519,215</b>  | <b>5,796,342,204</b> | <b>1,644,340,665</b> | <b>10,677,567,578</b> | <b>52,203,154,364</b> |
| <b>TOTAL ASSETS</b>                            | <b>9,458,267,233</b> | <b>7,252,953,768</b> | <b>5,451,251,181</b> | <b>6,758,963,107</b> | <b>6,576,946,257</b> | <b>16,810,948,599</b> | <b>8,485,438,780</b> | <b>1,915,857,018</b> | <b>11,179,821,482</b> | <b>73,890,447,426</b> |
| <b>LIABILITIES</b>                             |                      |                      |                      |                      |                      |                       |                      |                      |                       |                       |
| Deferred Tax Liabilities                       | 0.00                 | 36,097,488.73        | -204,292,452.00      | 11,710,421.32        | 124,096,989.00       | 69,166,722.29         | 737,699,485.69       | 0.00                 | 0.00                  | <b>774,478,655</b>    |
| Long Term Loan                                 | 0.00                 | 0.00                 | 0.00                 | 0.00                 | 0.00                 | 0.00                  | 0.00                 | 0.00                 | 0.00                  | <b>-</b>              |
| Current Tax provisions                         | -2,798,492.93        | 1,108,700,100.96     | 0.00                 | 113,563,649.87       | 16,184,278.00        | 199,656,238.36        | 102,437,272.99       | 3,800,468.32         | 0.00                  | <b>1,541,543,516</b>  |
| Gross Outstanding Claims                       | 882,410,438.78       | 3,009,375.00         | 158,656,344.79       | 659,063,135.53       | 415,853,779.00       | 292,134,119.15        | 77,329,730.70        | 45,579,533.75        | 1,107,122,641.90      | <b>3,641,159,099</b>  |
| IBNR                                           | 502,515,771.92       | 511,134,658.00       | 263,525,472.00       | 382,510,598.55       | 651,677,425.00       | 1,601,954,912.42      | 832,698,648.49       | 33,364,916.55        | 1,163,077,753.10      | <b>5,942,460,156</b>  |
| UPR                                            | 1,699,488,809.79     | 1,586,240,521.00     | 667,449,311.00       | 671,034,151.62       | 126,126,556.00       | 2,642,874,218.31      | 831,105,911.85       | 208,775,776.00       | 743,520,846.89        | <b>9,176,616,102</b>  |
| Retrocession Creditors                         | 2,491,331,663.88     | 303,787,110.89       | 2,397,370,943.00     | 1,198,638,984.85     | 1,174,353,132.00     | 6,216,047,491.54      | 171,533,562.73       | 281,360,016.92       | 0.00                  | <b>14,234,422,906</b> |
| Other Liabilities                              | 437,933,033.63       | 1,987,104,468.47     | 954,566,623.27       | 657,951,297.56       | 475,769,935.00       | 160,805,407.77        | 507,513,438.05       | 181,106,177.79       | 0.00                  | <b>5,362,750,382</b>  |
| <b>TOTAL LIABILITIES</b>                       | <b>6,010,881,225</b> | <b>5,536,073,723</b> | <b>4,237,276,242</b> | <b>3,694,472,239</b> | <b>2,984,062,094</b> | <b>11,182,639,110</b> | <b>3,260,318,051</b> | <b>753,986,889</b>   | <b>3,013,721,242</b>  | <b>40,673,430,815</b> |
| <b>SHAREHOLDERS' EQUITY</b>                    |                      |                      |                      |                      |                      |                       |                      |                      |                       |                       |
| Share Capital                                  | 568,000.00           | 900,000.00           | 67,128,420.00        | 69,033,390.00        | 410,000.00           | 10,200.00             | 5,000.00             | 1,084,747,142.22     | 0.00                  | <b>1,222,802,152</b>  |
| Share Premium                                  | 32,258,182.38        | 42,703,332.00        | 8,230,839.00         | 621,088,168.90       | 0.00                 | 6,101,018.00          | 2,495,000.00         | 0.00                 | 0.00                  | <b>712,876,540</b>    |
| Revaluation & Other Reserves                   | 1,667,728.50         | 54,588,937.09        | 0.00                 | 814,876,667.27       | 116,974,801.00       | 4,562,700,564.31      | 151,555,885.84       | 0.00                 | 7,593,013,390.10      | <b>13,295,377,974</b> |
| Retained Profit                                | 3,412,892,098.00     | 1,618,687,775.60     | 1,138,615,679.00     | 1,559,492,641.69     | 3,475,499,362.00     | 1,059,497,706.85      | 5,071,064,843.59     | 77,122,986.75        | 573,086,850.03        | <b>17,985,959,944</b> |
| <b>Shareholders's Equity</b>                   | <b>3,447,386,009</b> | <b>1,716,880,045</b> | <b>1,213,974,938</b> | <b>3,064,490,868</b> | <b>3,592,884,163</b> | <b>5,628,309,489</b>  | <b>5,225,120,729</b> | <b>1,161,870,129</b> | <b>8,166,100,240</b>  | <b>33,217,016,610</b> |
| <b>TOTAL EQUITY &amp; LIABILITIES</b>          | <b>9,458,267,234</b> | <b>7,252,953,768</b> | <b>5,451,251,180</b> | <b>6,758,963,107</b> | <b>6,576,946,257</b> | <b>16,810,948,599</b> | <b>8,485,438,780</b> | <b>1,915,857,018</b> | <b>11,179,821,482</b> | <b>73,890,447,425</b> |

## Appendix 2C

### Key Performance Indicators for Short-Term Reinsurers for the year ended 31 December 2022

|                                             | Emeritus Re | FBC Re    | FM RE     | Grand Re  | Tropical Re | WAICA Re    | ZB Re     | Muca Re   | Zep - Re   | Total/<br>Average |
|---------------------------------------------|-------------|-----------|-----------|-----------|-------------|-------------|-----------|-----------|------------|-------------------|
| <b>Key Performance Indicator</b>            |             |           |           |           |             |             |           |           |            |                   |
| <b>Capital Adequacy</b>                     |             |           |           |           |             |             |           |           |            |                   |
| Capital Position (\$ 000)                   | 3,447,386   | 1,716,880 | 1,213,975 | 3,064,491 | 3,592,884   | 5,628,309   | 5,225,121 | 1,161,870 | 8,166,100  | <b>3,690,780</b>  |
| Capital Maintenance Ratio (CMR)             | 274.41%     | 183.05%   | 175.14%   | 370.83%   | 314.85%     | 328.70%     | 326.60%   | 885.06%   | 893.61%    | <b>360.58%</b>    |
| Equity/Total Assets Ratio                   | 36.45%      | 23.67%    | 22.27%    | 45.34%    | 54.63%      | 33.48%      | 61.58%    | 60.64%    | 73.04%     | <b>44.95%</b>     |
| Solvency Margin                             | 68.60%      | 45.76%    | 43.78%    | 92.71%    | 78.71%      | 82.18%      | 81.65%    | 221.27%   | 223.40%    | <b>90.14%</b>     |
| <b>Asset Quality</b>                        |             |           |           |           |             |             |           |           |            |                   |
| Total Assets (\$ 000)                       | 9,458,267   | 7,252,954 | 5,451,251 | 6,758,963 | 6,576,946   | 16,810,949  | 8,485,439 | 1,915,857 | 11,179,821 | <b>73,890,447</b> |
| Investments to Assets                       | 16.39%      | 76.72%    | 49.02%    | 20.77%    | 53.17%      | 1.67%       | 57.29%    | 52.81%    | 58.36%     | <b>37.31%</b>     |
| Non-Interest Generating Assets/Total Assets | 82.66%      | 22.14%    | 48.75%    | 62.99%    | 46.83%      | 59.66%      | 42.71%    | 38.13%    | 41.64%     | <b>52.05%</b>     |
| Fixed Assets/Total Assets                   | 26.51%      | 1.61%     | 0.17%     | 4.68%     | 0.30%       | 4.11%       | 20.70%    | 0.77%     | 1.90%      | <b>7.64%</b>      |
| Prescribed Assets Ratio                     | 0.20%       | 13.76%    | 14.17%    | 4.27%     | 0.50%       | 2.48%       | 11.14%    | 0.25%     | 48.75%     | <b>13.54%</b>     |
| Premium Debtors/Gross Premium               | 49.88%      | 22.18%    | 38.79%    | 20.84%    | 32.67%      | 69.91%      | 20.47%    | 46.46%    | 24.32%     | <b>36.27%</b>     |
| Premium Debtors/Total Assets                | 32.16%      | 13.21%    | 43.32%    | 24.78%    | 35.11%      | 41.70%      | 21.73%    | 31.54%    | 17.54%     | <b>29.46%</b>     |
| <b>Retrocession</b>                         |             |           |           |           |             |             |           |           |            |                   |
| Risk Retention Ratio                        | 82.40%      | 86.88%    | 45.54%    | 41.12%    | 64.57%      | 68.31%      | 71.04%    | 40.37%    | 45.32%     | <b>61.40%</b>     |
| Retrocession Creditors/Retrocession Premium | 232.12%     | 53.63%    | 72.31%    | 25.32%    | 46.90%      | 195.63%     | 6.57%     | 36.27%    | 0.00%      | <b>61.44%</b>     |
| O/S Claims                                  | 0.00%       | 100.00%   | 0.00%     | 120.62%   | 53.10%      | 54.07%      | 0.00%     | 70.81%    | 0.00%      | <b>33.20%</b>     |
| <b>Actuarial</b>                            |             |           |           |           |             |             |           |           |            |                   |
| UPR                                         | 1,699,489   | 1,586,241 | 667,449   | 671,034   | 126,127     | 2,642,874   | 831,106   | 208,776   | 743,521    | <b>9,176,616</b>  |
| IBNR                                        | 502,516     | 511,135   | 263,525   | 382,511   | 651,677     | 1,601,955   | 832,699   | 33,365    | 1,163,078  | <b>5,942,460</b>  |
| Net Outstanding Claims                      | 882,410     | -         | 158,656   | (135,887) | 195,037     | 134,181     | 77,330    | 13,306    | 1,107,123  | <b>2,432,156</b>  |
| Liquid Assets/Total Reserves                | 26.63%      | 194.11%   | 168.70%   | 144.59%   | 358.55%     | 6.42%       | 225.63%   | 396.08%   | 216.50%    | <b>132.71%</b>    |
| Liquid Assets/(Outstanding Claims+IBNR)     | 59.30%      | 796.52%   | 435.41%   | 537.98%   | 411.96%     | 16.19%      | 431.70%   | 2167.89%  | 287.40%    | <b>278.12%</b>    |
| Total Assets/Total Reserves                 | 306.65%     | 345.81%   | 500.28%   | 736.54%   | 676.06%     | 383.90%     | 487.35%   | 750.00%   | 370.96%    | <b>421.00%</b>    |
| <b>Earnings</b>                             |             |           |           |           |             |             |           |           |            |                   |
| Profit After Tax (000\$)                    | 2,477,007   | 1,511,114 | 788,168   | 1,301,933 | 2,444,603   | 827,862     | 3,826,062 | 77,123    | (233,711)  | <b>13,020,160</b> |
| Return on Equity                            | 142.34%     | 175.91%   | 128.50%   | 84.71%    | 135.88%     | 29.39%      | 146.17%   | 13.16%    | -5.72%     | <b>78.18%</b>     |
| Return on Assets                            | 52.11%      | 41.65%    | 28.81%    | 38.43%    | 74.22%      | 9.84%       | 90.02%    | 7.99%     | -4.18%     | <b>35.17%</b>     |
| Loss Ratio                                  | 82.08%      | 68.51%    | 53.55%    | 48.87%    | 65.62%      | 46.98%      | 48.24%    | 17.05%    | 63.03%     | <b>56.95%</b>     |
| Net Commission Ratio                        | 20.11%      | 23.12%    | 19.26%    | 20.79%    | 28.81%      | 30.51%      | 31.68%    | 17.38%    | 37.87%     | <b>27.16%</b>     |
| Net Expense Ratio                           | 22.17%      | 64.60%    | 38.07%    | 34.01%    | 17.72%      | 14.93%      | 26.73%    | 32.52%    | 17.38%     | <b>27.32%</b>     |
| Combined Ratio                              | 124.37%     | 156.22%   | 110.88%   | 103.67%   | 112.15%     | 92.42%      | 106.65%   | 66.96%    | 118.28%    | <b>111.42%</b>    |
| Investment Income/NPW Ratio                 | 58.91%      | 120.26%   | 43.73%    | 63.03%    | 40.66%      | -2.95%      | 82.41%    | 4.70%     | 7.60%      | <b>48.84%</b>     |
| Investment Income/Total Financial Assets    | 190.93%     | 81.09%    | 45.38%    | 148.42%   | 53.08%      | -71.80%     | 108.48%   | 2.44%     | 4.26%      | <b>65.77%</b>     |
| <b>Liquidity</b>                            |             |           |           |           |             |             |           |           |            |                   |
| Working Capital                             | 559,858     | 2,010,775 | 1,203,778 | 2,231,791 | 4,040,489   | (1,403,044) | 3,043,538 | 1,154,643 | 7,953,478  | <b>20,795,305</b> |
| Current ratio                               | 102.03%     | 100.48%   | 105.88%   | 181.70%   | 237.00%     | 87.25%      | 177.78%   | 239.36%   | 363.91%    | <b>142.17%</b>    |
| Acid Test ratio                             | 13.66%      | 73.58%    | 43.38%    | 45.76%    | 126.23%     | 2.55%       | 120.50%   | 140.19%   | 216.50%    | <b>59.02%</b>     |
| Market Share of Total Liquid Assets         | 3.53%       | 17.48%    | 7.89%     | 5.70%     | 14.98%      | 1.21%       | 16.87%    | 4.34%     | 28.01%     | <b>100%</b>       |
| <b>Market Shares</b>                        |             |           |           |           |             |             |           |           |            |                   |
| Market Share Based on GPW                   | 10.16%      | 7.20%     | 10.14%    | 13.39%    | 11.78%      | 16.71%      | 15.01%    | 2.17%     | 13.44%     | <b>100%</b>       |
| Market Share Based on NPW                   | 13.64%      | 10.18%    | 7.52%     | 8.97%     | 12.39%      | 18.59%      | 17.37%    | 1.43%     | 9.92%      | <b>100%</b>       |
| Market Share Based on Total Assets          | 12.80%      | 9.82%     | 7.38%     | 9.15%     | 8.90%       | 22.75%      | 11.48%    | 2.59%     | 15.13%     | <b>100%</b>       |

## Appendix 3A

### Statement of Comprehensive Income for Microinsurers for the year ended 31 December 2022

| Item                       | Coverlink        | Goldenknot     | Total                   |
|----------------------------|------------------|----------------|-------------------------|
| Gross Premium Written      | 1 914 595 936,85 | 869 342 860,86 | <b>2 783 938 797,71</b> |
| Reinsurance Premium        | -                | -              | -                       |
| Net Premium Written        | 1 914 595 936,85 | 869 342 860,86 | 2 783 938 797,71        |
| Increase/(Decrease) in UPR | 148 015 932,82   | -              | 148 015 932,82          |
| Net Earned Premium         | 1 766 580 004,03 | 869 342 860,86 | 2 635 922 864,89        |
| Net Incurred Claims        | 672 907 821,68   | 110 925 370,46 | 783 833 192,14          |
| Net Commission Incurred    | 146 547 662,14   | 98 327 345,04  | 244 875 007,18          |
| Technical Result           | 947 124 520,21   | 660 090 145,36 | 1 607 214 665,57        |
| Operating Expenses         | 534 757 408,53   | 411 301 892,48 | 946 059 301,01          |
| Underwriting Result        | 412 367 111,68   | 248 788 252,88 | 661 155 364,56          |
| Investment Income          | 815 115,69       | -              | 815 115,69              |
| Unrealised Gains/(Losses)  | 191 527 230,80   | -              | 191 527 230,80          |
| Other Income/(Expenses)    | 4 764 723,57     | 34 322 672,04  | 39 087 395,61           |
| Profit/(Loss) Before Tax   | 609 474 181,74   | 283 110 924,92 | 892 585 106,66          |
| Taxation                   | 59 735 870,94    | 69 985 020,64  | 129 720 891,58          |
| Profit/(Loss) After Tax    | 549 738 310,80   | 213 125 904,28 | 762 864 215,08          |
| Dividends                  | -                | -              | -                       |
| Retained Income            | 549 738 310,80   | 213 125 904,28 | <b>762 864 215,08</b>   |



## Appendix 3B

### Statement of Financial Position for Microinsurers for the year ended 31 December 2022

|                                         | Coverlink               | Goldenknot            | Total                   |
|-----------------------------------------|-------------------------|-----------------------|-------------------------|
| <b>ASSETS</b>                           |                         |                       |                         |
| Non-Current Assets                      |                         |                       |                         |
| Fixed Assets                            | 4,281,722,683.07        | 156,970,276.59        | 4,438,692,959.66        |
| Equities                                | 17,604,945.34           | 32,796,620.78         | 50,401,566.12           |
| Investments In Associated Companies     | -                       | -                     | -                       |
| Long Term Prescribed Assets             |                         | -                     | -                       |
| Other Non-Current Assets                | -                       | 31,704,795.95         | 31,704,795.95           |
|                                         | 4,299,327,628.41        | 221,471,693.33        | 4,520,799,321.74        |
| <b>Technical Assets</b>                 |                         |                       | -                       |
| Reinsurers' Share of Outstanding Claims | -                       | -                     | -                       |
| Deferred Acquisition Cost/UCR           | -                       | -                     | -                       |
|                                         | -                       | -                     | -                       |
| <b>Current Assets</b>                   |                         |                       | -                       |
| Cash & cash equivalents                 | 77,635,629.84           | 251,244,924.58        | 328,880,554.42          |
| Money Market Investments                | 6,356,900.78            | -                     | 6,356,900.78            |
| Current Prescribed Assets               | 21,257,485.00           |                       | 21,257,485.00           |
| Premiums Receivable                     | 597,860.53              | -                     | 597,860.53              |
| Other Current Assets                    | 18,796,462.72           | 20,273,993.25         | 39,070,455.97           |
|                                         | 124,644,338.87          | 271,518,917.83        | 396,163,256.70          |
|                                         |                         |                       | -                       |
| <b>TOTAL ASSETS</b>                     | <b>4,423,971,967.28</b> | <b>492,990,611.15</b> | <b>4,916,962,578.43</b> |
|                                         |                         |                       | -                       |
| <b>LIABILITIES</b>                      |                         |                       |                         |
| Deferred Tax Liabilities                | -                       | -                     | -                       |
| Long Term loan                          | 2,470,000,000.00        | -                     | 2,470,000,000.00        |
| Current Tax provisions                  | 39,041,661.53           | 84,697,782.14         | 123,739,443.67          |
| Gross Outstanding Claims                | 200,997,680.77          | -                     | 200,997,680.77          |
| IBNR                                    | 11,082,567.56           | -                     | 11,082,567.56           |
| UPR                                     | 297,595,324.82          | -                     | 297,595,324.82          |
| Reinsurance Creditors                   | -                       | -                     | -                       |
| Other Liabilities                       | 19,557,477.93           | 116,108,729.73        | 135,666,207.66          |
|                                         |                         |                       | -                       |
| <b>TOTAL LIABILITIES</b>                | <b>3,038,274,712.61</b> | <b>200,806,511.87</b> | <b>3,239,081,224.48</b> |
|                                         |                         |                       | -                       |
| <b>SHAREHOLDERS' EQUITY</b>             |                         |                       | -                       |
| Share Capital                           | 40,000.00               | 2,000.00              | 42,000.00               |
| Share Premium                           | 332,296.90              | -                     | 332,296.90              |
| Revaluation & Other Reserves            | 752,670,717.97          | 271,419.00            | 752,942,136.97          |
| Retained Profit                         | 632,654,239.80          | 291,910,680.28        | 924,564,920.08          |
|                                         |                         |                       | -                       |
| <b>Shareholders's Equity</b>            | <b>1,385,697,254.67</b> | <b>292,184,099.28</b> | <b>1,677,881,353.95</b> |
|                                         |                         |                       | -                       |
| <b>TOTAL EQUITY &amp; LIABILITIES</b>   | <b>4,423,971,967.28</b> | <b>492,990,611.15</b> | <b>4,916,962,578.43</b> |